

May 19, 2026 04:20 AM GMT

US Technology | North America

Large-Cap Institutional Ownership 1Q26: Mega-Cap Tech Under-Ownership Narrows

The gap between Mega-cap tech S&P weighting and institutional ownership narrowed 12bps in 1Q, with mega-cap tech now 125bps under-owned vs. -137bps in 4Q. The rest of large-cap tech is modestly over-owned at +32bps. NVDA remains the most under-owned, followed by AAPL, MSFT, AMZN and GOOGL.

Key Takeaways

- Mega-cap Tech under-ownership vs the S&P 500 modestly narrowed to -125bps from -137bps at 4Q25 end.
- Outside of mega-cap Tech stocks, the spread between institutional ownership and S&P 500 weighting was +32bps, in-line with last quarter.
- NVDA remains the most under-owned large-cap tech stock vs. S&P 500 at -2.39%, followed by AAPL (-2.32%), MSFT (-1.86%), and AMZN (-1.24%).
- SNDK is still the most "over-owned" large-cap tech stock at +2.16% vs. S&P 500, more than 2x STX, the next most over-owned stock behind SNDK.
- Institutional positioning in large-cap tech favors AI infra bottlenecks, with relatively high memory/storage ownership and low software ownership exiting 1Q26.

Mega-cap Tech stocks are modestly less under-owned vs. the S&P 500 exiting 1Q26 than at 2025 year-end; NVDA remains the most "under-owned" large-cap tech stock, while SNDK is the most "over-owned" (Exhibit 1). Leveraging 13Fs filed for the end of 1Q26, most mega-cap technology stocks remain under-owned relative to their weighting in the S&P 500, with NVDA (-2.39%), AAPL (-2.32%), MSFT (-1.86%) and AMZN (-1.24%) the most under-owned of the mega-cap tech stocks we track. Conversely, SNDK (+2.16%), STX (+0.84%) and CRM (+0.63%), are the most over-owned technology stocks we track relative to their weighting in the S&P 500. On average, the spread between active institutional ownership and S&P 500 weighting for the largest technology companies in the US by market cap - NVDA, AAPL, MSFT, AMZN, GOOGL, META, and TSLA - was -125bps exiting 1Q26 (Exhibit 2) vs. -137bps at the end of 4Q25, showing a modest narrowing of mega-cap under-ownership over the last 90 days. For the remaining 21 large-cap tech stocks we track, the spread between institutional ownership and S&P 500 weighting exiting 1Q26 was +32bps, in-line with 4Q25.

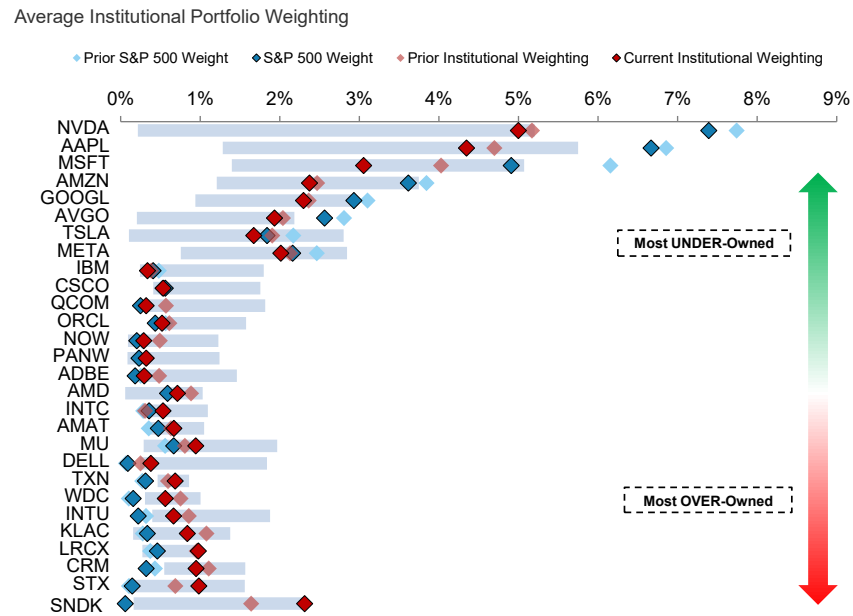
MORGAN STANLEY & CO. LLC		
Erik W Woodring		
Equity Analyst		
Erik.Woodring@morganstanley.com		+1 212 296-8083
Keith Weiss, CFA		
Equity Analyst		
Keith.Weiss@morganstanley.com		+1 212 761-4149
Brian Nowak, CFA		
Equity Analyst		
Brian.Nowak@morganstanley.com		+1 212 761-3365
Joseph Moore		
Equity Analyst		
Joseph.Moore@morganstanley.com		+1 212 761-7516
Meta A Marshall		
Equity Analyst		
Meta.Marshall@morganstanley.com		+1 212 761-0430
Rauf Ural		
Research Associate		
Rauf.Ural@morganstanley.com		+1 212 761-5958

IT HARDWARE	
North America	
Industry View	Cautious

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

Exhibit1: The gap between mega-cap tech's institutional weighting and its S&P 500 weighting narrowed in 1Q26.



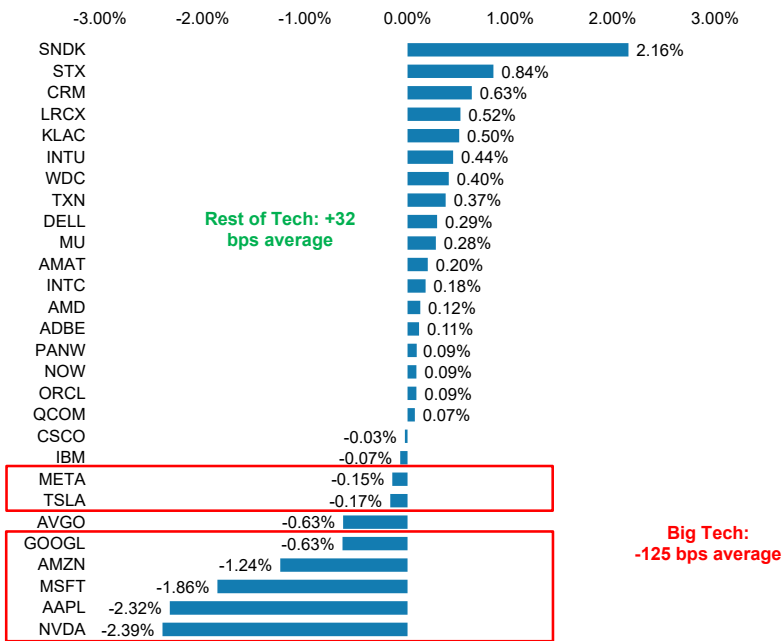
Note: Based on 13-F filings for the period from 1Q09 to 1Q26. Google historical time period begins in 1Q14 and reflects only GOOGL share class, which has a directionally similar dynamic as GOOG. Source: Factset, Morgan Stanley Research.

At the stock level, there are three key observations from the 1Q26 13-F data.

First, NVDA remains the most under-owned large-cap tech stock we track as of 1Q26 ([Exhibit 2](#)), with the gap between NVDA's S&P 500 weighting and institutional ownership narrowing Q/Q by just 18bps, ending 1Q26 at -2.39%, near all-time highs. **Second,** exiting 1Q26, institutional active manager ownership remains notably high (vs. the S&P 500) in large cap memory/storage-related names - SNDK, STX, LRCX, KLAC, and WDC - but notably low in software stocks - IBM, ORCL, PANW, NOW and ADBE, illustrating a continued clear institutional bias towards AI 'picks and shovels' / bottlenecks in 1Q. **Finally,** we'd highlight that SNDK's institutional ownership has been steadily increasing since its re-listing in 1Q25, and even after its inclusion into the S&P 500 in 4Q25, SNDK has the widest gap between institutional ownership and S&P 500 weighting among any other large-cap tech stock we track, with the "over-ownership" gap exiting 1Q26 at +2.16%, more than 2x STX, the next most "over-owned" large cap tech stock we track.

Exhibit 2: Of the large cap stocks we evaluate, NVDA, AAPL, MSFT, AMZN, and GOOGL are currently the most under-owned in actively managed portfolios vs. the S&P 500, while SNDK, STX, CRM, and LRCX are the most over-owned.

Average Active Ownership Portfolio Weighting vs. S&P 500 Weighting



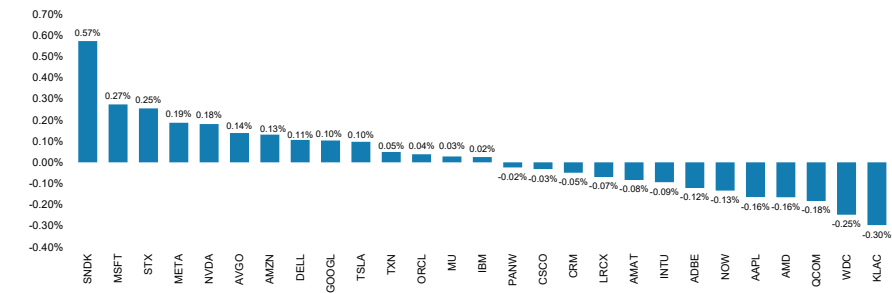
Source: Based on 13-F filings for the period from 1Q09 to 1Q26. Factset, Morgan Stanley Research.

Why does this data matter? Each quarter, we track ownership data for 28 of the largest cap tech companies across Morgan Stanley's US technology equity research coverage, which is based on each company's average weighting within the top 100 actively managed institutional portfolios relative to that same company's weighting in the S&P 500. A quant analysis of this historical ownership data indicates that, on average, after adjusting for market cap and earnings beats, there is a statistically significant relationship between low active ownership relative to the S&P 500 and future stock performance. This indicates that on average, stocks appear to experience a technical pull higher when active ownership is much lower than the market, and vice versa.

Key Exhibits

Exhibit 3: Of the large cap stocks we evaluate, SNDK saw the gap between its institutional ownership and S&P 500 weighting increase the most by 57bps in 1Q (vs. 4Q), while KLAC saw the gap narrow by 30bps.

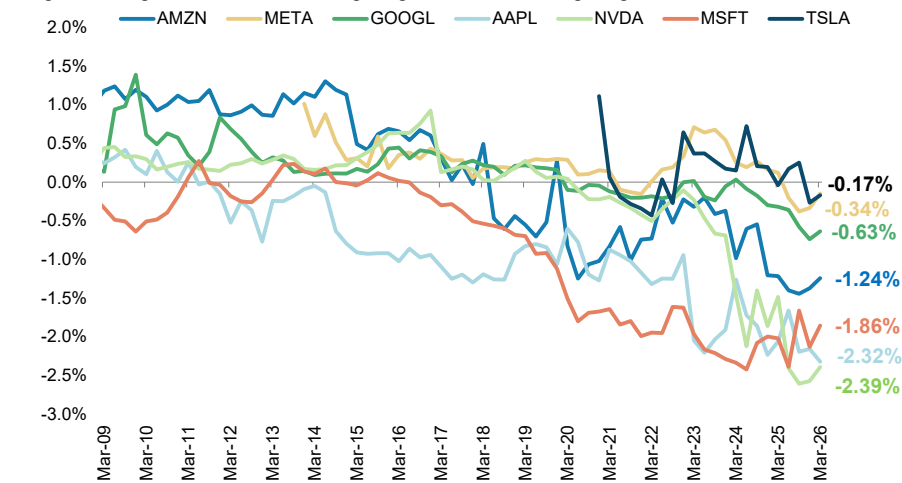
Q/Q Change in Gap of Active Ownership Portfolio Weighting vs. S&P 500 Weighting



Source: Based on 13-F filings for the period from 1Q09 to 1Q26. Factset, Morgan Stanley Research.

Exhibit 4: The spread between the average active portfolio weighting vs. the S&P 500 widened Q/Q for AAPL, but narrowed for AMZN, META, GOOGL, NVDA, MSFT, and TSLA.

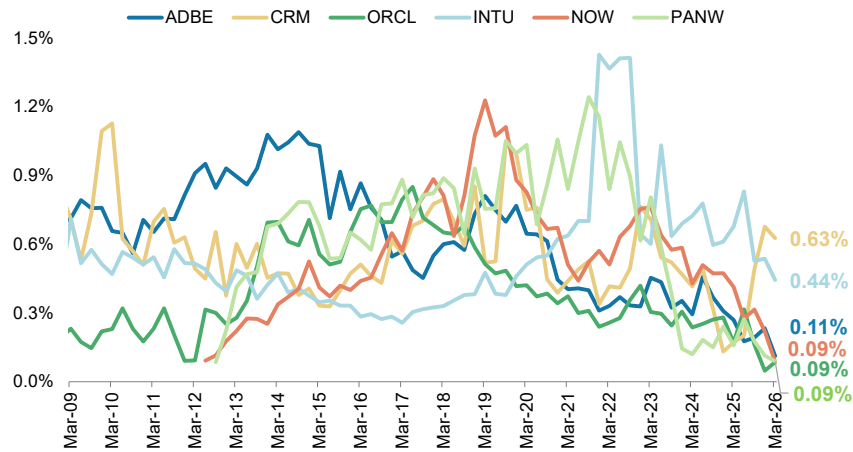
"Mag 7" Average Active Portfolio Weighting vs. S&P 500 Weighting



Source: Based on 13-F filings for the period from 1Q09 to 1Q26. Google historical time period begins in 1Q14 and reflects only GOOGL share class, which has a directionally similar dynamic as GOOG. Source: Factset, Morgan Stanley Research.

Exhibit 5: For the rest of Software ex-MSFT, average active ownership weighting vs. the S&P 500 (0.24%) decreased by 6bp Q/Q.

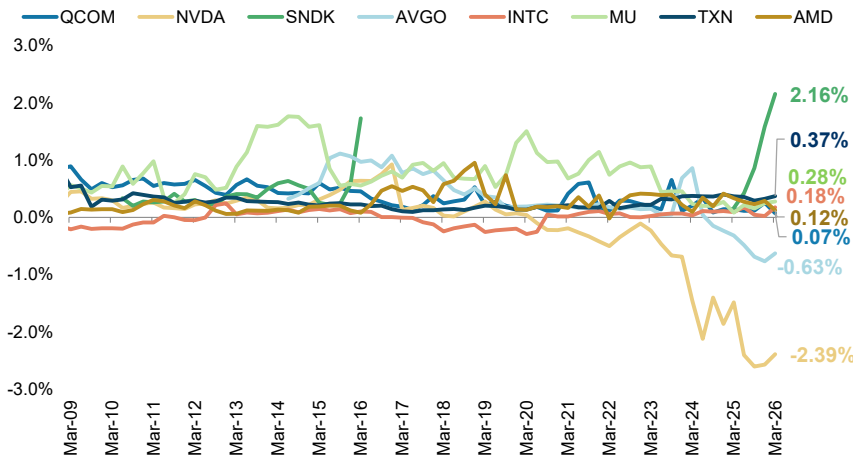
Software Average Active Portfolio Weighting vs. S&P 500 Weighting



Source: Based on 13-F filings for the period from 1Q09 to 1Q26. Google historical time period begins in 1Q14 and reflects only GOOGL share class, which has a directionally similar dynamic as GOOG. Source: Factset, Morgan Stanley Research.

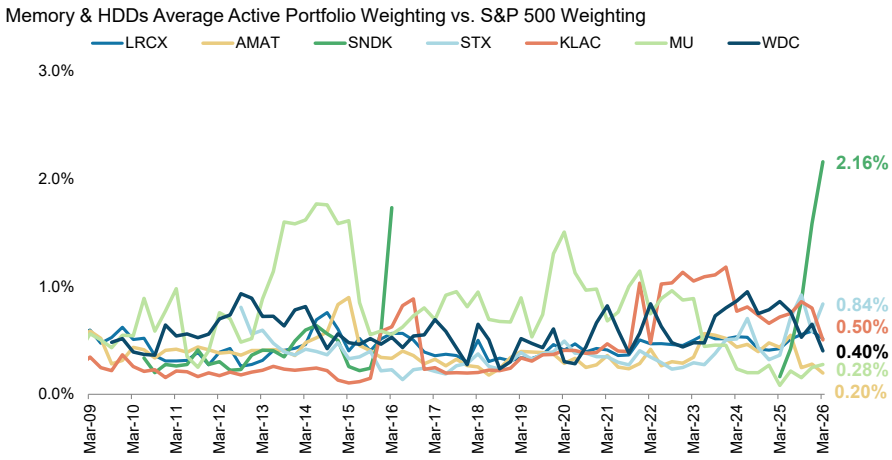
Exhibit 6: In semis, SNDK saw the largest increase in the spread between the average active vs. passive ownership Q/Q.

Semis Average Active Portfolio Weighting vs. S&P 500 Weighting



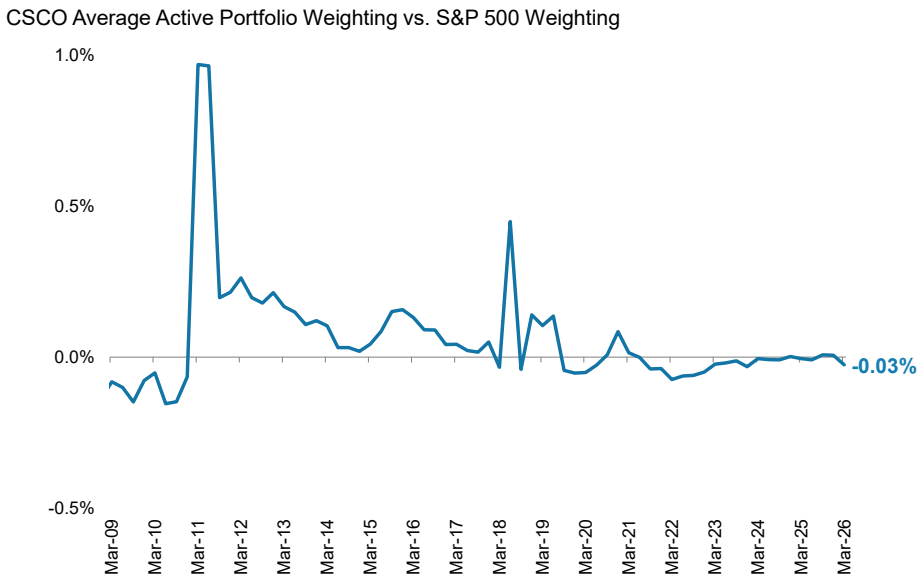
Source: Based on 13-F filings for the period from 1Q09 to 1Q26. Factset, Morgan Stanley Research.

Exhibit 7: Across memory and HDDs, average active ownership weighting vs. the S&P 500 (0.73%) increased by 4 bps Q/Q.



Source: Based on 13-F filings for the period from 1Q09 to 1Q26. Factset, Morgan Stanley Research

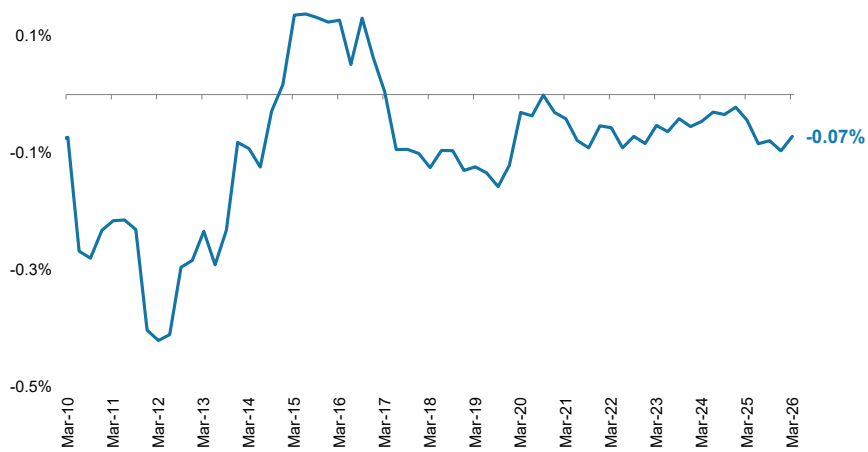
Exhibit 8: CSCO active institutional ownership weighting has remained relatively in-line with the S&P 500 over the last 5 years.



Source: Based on 13-F filings for the period from 1Q09 to 1Q26. Factset, Morgan Stanley Research.

Exhibit 9: IBM's S&P 500 weighting vs active ownership upticked slightly by 3bps in 1Q26 Q/Q.

IBM Average Active Portfolio Weighting vs. S&P 500 Weighting



Source: Based on 13-F filings for the period from 1Q09 to 1Q26

Morgan Stanley is acting as exclusive financial advisor to AP Grange Holdings, LLC ("AP Grange") in relation to a definitive agreement with Intel Corporation ("Intel"), for Intel to repurchase the 49% equity interest in the joint venture related to Intel's Fab 34 in Ireland not held by Intel, as announced on April 1, 2026. The transaction is subject to customary closing conditions. AP Grange has agreed to pay fees to Morgan Stanley for its financial advisory services. Please refer to the notes at the end of this report.

Morgan Stanley is acting as financial advisor to Armis Inc. ("Armis") in relation to the proposed acquisition by ServiceNow, Inc. as announced on December 23, 2025. Armis has agreed to pay fees to Morgan Stanley for its financial services. Please refer to the notes at the end of the report.

Morgan Stanley is acting as lead financial advisor to Intersect, LLC in relation to the sale to Alphabet Inc, as announced on December 22, 2025. The deal is subject to customary closing conditions. Intersect, LLC has agreed to pay fees to Morgan Stanley for its financial services.

Risk Reward – Adobe Inc. (ADBE.O)

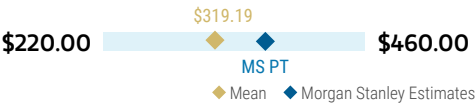
Pools of Limited Visibility Obfuscate Path to Growth Reacceleration

PRICE TARGET \$365.00

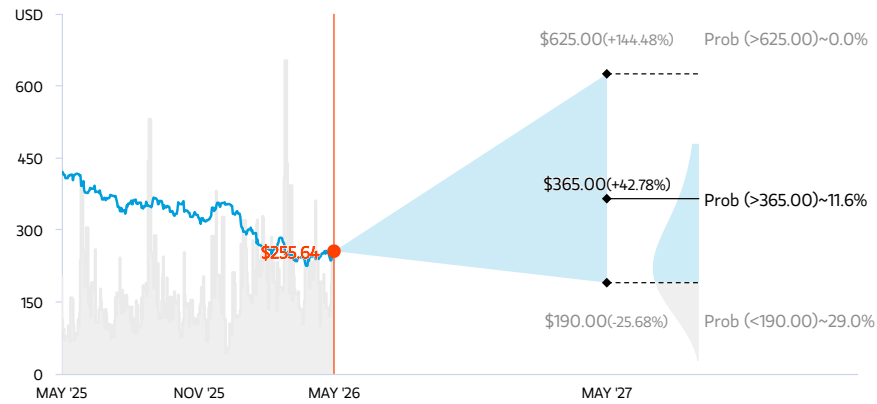
Our \$365 PT is based on a 13x Base Case 2027e EPS of \$27.56 as Generative AI sustains durable growth in Creative Cloud. The 13x EPS multiple in FY27e implies a ~1x PEG, a discount to ADBE's historical average.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



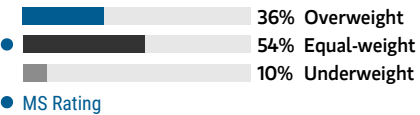
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#).

EQUAL-WEIGHT THESIS

- Remain constructive on Adobe's competitive moat, particularly among complex, multi-channel marketers that lean on Adobe as: 1) an integrated 'system of record' across content creation (Digital Media) and content distribution (Digital Experience); 2) a deliverer of Gen AI functionality that should enhance and accelerate content supply chains; and 3) enabling strict compliance & protection related to IP rights
- Limited visibility into the size and magnitude of AI disruption headwinds with Consumers, simple marketers, and business users lowers our conviction in the net AI impact to Creative Cloud and Digital Media growth
- \$365 PT is based on a 13x 2027e EPS of \$27.56, which implies a ~1.0x PEG

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

- New Data Era: Positive
- Secular Growth: Positive
- Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$625.00	BASE CASE	\$365.00	BEAR CASE	\$190.00
21x Bull Case 2027e EPS of \$29.75		13x Base Case 2027e EPS of \$27.56		8x Bear Case 2027e EPS of \$23.91	
Creative Cloud + GenAI expands the user base and pushes pricing higher, supporting a total revenue CAGR of 13%. Operating margin of 45.5% results in FY27 EPS of \$29.75. ADBE trades at 21x EPS, largely inline with large-cap peers, supported by a strong 16% EPS CAGR, yielding \$625/share.		Total revenue grows at 10% CAGR from FY24-FY27. Operating margin of 45.3% results in FY27 EPS of \$27.56 and a FY24-FY27 EPS CAGR of 14%. At a 13x EPS multiple in FY27e, yielding \$365/share, ADBE trades at ~1.0x PEG, a discount to its historical average.		Generative AI adds little upside to the existing user or revenue base as competition is fierce. A worsening macro environment negatively impacts a growing base of cyclically sensitive consumers. Margins remain 45.3% in FY27, resulting in FY27e EPS of \$23.91. The stock trades at 8x FY27e EPS, which yields \$190/share.	

Risk Reward – Adobe Inc. (ADBE.O)

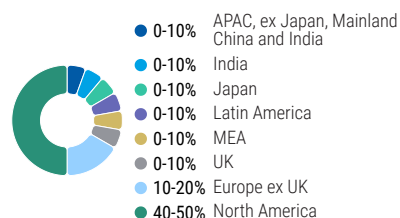
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Net New Digital Media ARR YoY (%)	13.1	11.5	10.3	9.6
EPS YoY (%)	14.7	13.6	12.1	12.4
Digital Experience Revenue YoY (%)	9.4	9.0	9.6	10.1
Total Revenue YoY (%)	10.8	10.5	9.4	9.8
Operating Margin (%)	46.6	46.2	45.0	45.3

INVESTMENT DRIVERS

- Increased customer lifetime value and TAM expansion opportunity
- Growing the customer base through freemium offerings
- Secular data trends around first party data
- Operating leverage and share buybacks

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- GenAI pricing closer to peers
- Expand the addressable customer base
- Added GenAI functionality to the Digital Experience product portfolio
- Faster transition to margin expansion out of investment mode

RISKS TO DOWNSIDE

- Timing of releases / AI availability
- Pricing on Firefly / ETLA / Creative Cloud uplift
- Lower margins from GenAI investment
- Cannibalization of the subscriber base / increased competition

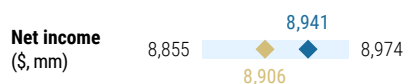
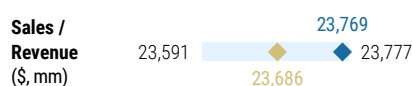
OWNERSHIP POSITIONING

Inst. Owners, % Active	47.3%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e



◆ Mean ◆ Morgan Stanley Estimates

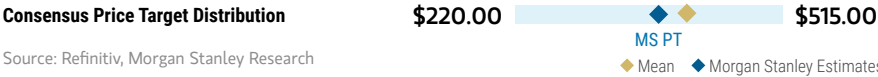
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Alphabet Inc. (GOOGL.O)

Alphabet Inc.

PRICE TARGET \$375.00

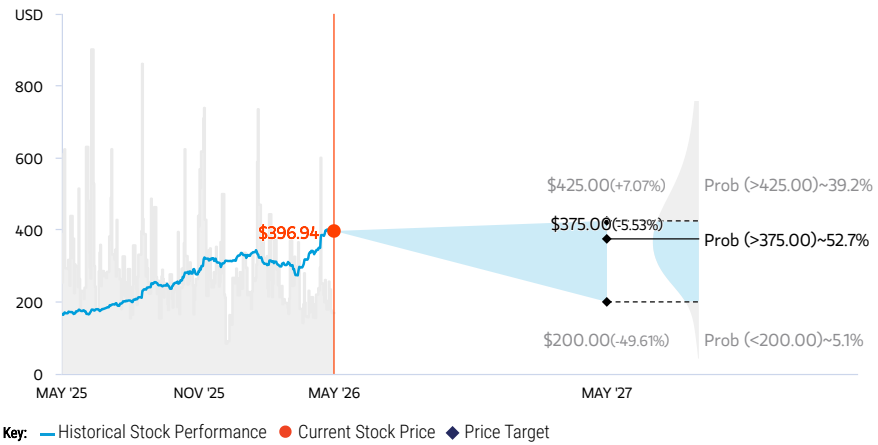
Our price target is determined using a discounted cash flow/discount to long-term EBITDA multiple. It implies a ~24X '27 P/E Multiple. Our DCF uses a ~8% WACC and a ~3% terminal growth rate (in line with other growth-oriented internet companies)



OVERWEIGHT THESIS

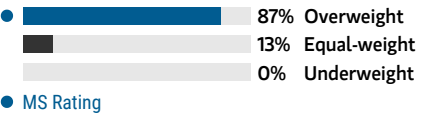
- Continued AI-driven platform-level innovation on Search, YouTube, Cloud, and with other offerings improve confidence in the durability of long term growth.
- Continued expense discipline leads to operating leverage and upward revisions on EPS and FCF estimates.

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

Consensus Rating Distribution



Risk Reward Themes

Secular Growth: Positive
New Data Era: Positive
View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$425.00	BASE CASE	\$375.00	BEAR CASE	\$200.00
Implied ~15X '27 bull case EBITDA.		Implied ~14X '27 base case EBITDA.		Implied ~8X '27 bear case EBITDA.	
Faster innovation and Search/GCP acceleration lead to multiple expansion and higher earnings power. Search revenue accelerates as AI-driven innovation delivers meaningful upside to engagement. New AI offerings prove incremental to the top and bottom line and don't cannibalize core Search. YouTube and Cloud become even bigger contributors to top-line growth, and operate at a higher margin than in our base case.		Assumes pragmatic search revenue growth in '26, continued incremental platform monetization and Google Cloud acceleration in '26. As GOOGL continues platform-level innovation on Search and other categories, we assume pragmatic revenue/EBITDA growth. GOOGL introduces new AI offerings which increase confidence in the durability of long term growth and calm fears around competition. Google Cloud accelerates driven by new partnerships and growing backlog.		Global ad growth slows further and margins face pressure. Assumes slower search advertising growth, and that ad spending slows further. Expense discipline fails to materialize leading to lower than expected margin expansion and adj. EBITDA. New AI products create greater than expected margin pressure due to lower monetization rates and increased compute intensity.	

Risk Reward – Alphabet Inc. (GOOGL.O)

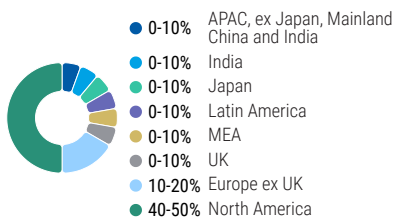
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Total operating income (GAAP) (\$, mm)	129,039	179,101	230,479	279,692
GAAP Operating Income (Loss) (\$, mm)	137,054	186,576	237,679	286,242

INVESTMENT DRIVERS

- Search advertising spend continues to gain share of global advertising budgets.
- Mobile search advertising continues to take share of online budgets.
- Investments in video driving longer-term monetization at YouTube.
- Moderation of expense growth.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- New products generate higher than expected top line contribution.
- Capital returns through greater share buybacks.
- Hiring and/or spend per headcount is lower than expected.

RISKS TO DOWNSIDE

- High exposure to SMB and travel could pressure ad revenue in a recession
- Improved disclosure around the Google and Other Alphabet segments may not decrease the overall investment activity of the business.

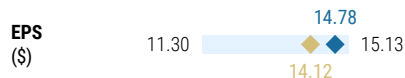
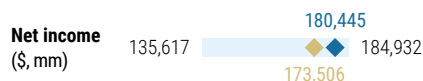
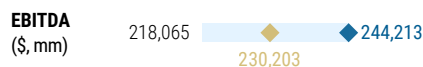
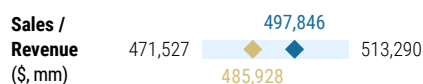
OWNERSHIP POSITIONING

Inst. Owners, % Active	57.5%				
HF Sector Long/Short Ratio	2.7x				
HF Sector Net Exposure	12.9%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

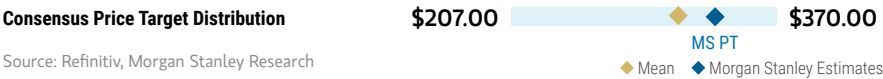
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Amazon.com Inc (AMZN.O)

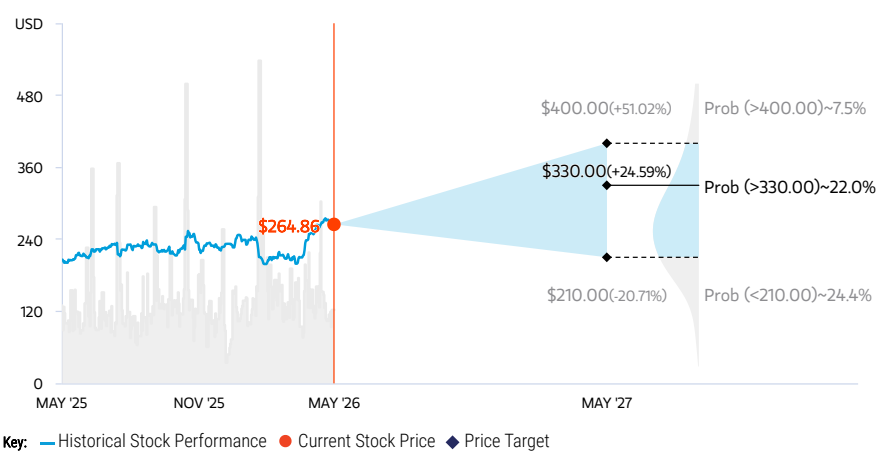
AMZN Risk Reward

PRICE TARGET \$330.00

Our \$330 PT is based on applying a ~29X P/E multiple to our \$11.3 of '27 EPS and implies paying ~1.1X PEG, a ~40% discount to AMZN's peer median.



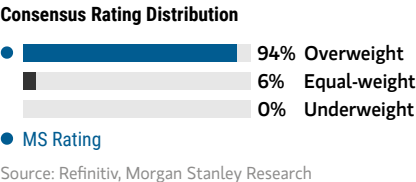
RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- Amazon's high-margin businesses continue to allow Amazon to drive greater profitability while still continuing to invest (last mile delivery, fulfillment, Prime Now, Fresh, Prime digital content, Alexa/Echo, India, AWS, etc).
- Amazon Prime membership growth drives recurring revenue and positive mix shift.
- Cloud adoption hitting an inflection point.
- Advertising serves as a key area for both further growth potential and profitability flow-through.



Risk Reward Themes

- Secular Growth: Positive
- New Data Era: Positive
- Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$400.00	BASE CASE	\$330.00	BEAR CASE	\$210.00
~31X bull case 2027 EPS of \$13.0		~29X base case 2027 EPS of \$11.3		~20X bear case 2027 EPS of \$10.6	
Our Bull case is derived from higher Revenue and EBIT margin assumptions than in our base case		Our \$330 PT is based on applying a ~29X P/E multiple to our \$11.3 of '27 EPS and implies paying ~1.1X PEG, a ~40% discount to AMZN's peer median.		Our Bear case is derived from lower Revenue and EBIT margin assumptions than in our base case	

Risk Reward – Amazon.com Inc (AMZN.O)

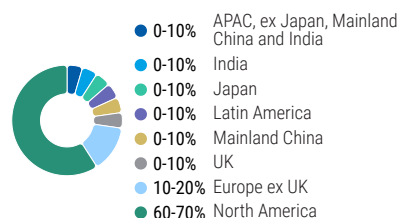
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Revenue (\$, mm)	716,924	825,620	951,082	1,088,139
Gross Profit (\$, mm)	361,287	426,385	515,815	613,700
GAAP EBIT (\$, mm)	79,975	111,844	155,801	203,824
Paid Unit Growth (y/y) (%)	10.8	11.8	10.6	9.8
AWS Revenue Growth (%)	19.7	34.7	36.5	31.0

INVESTMENT DRIVERS

- Amazon's high-margin businesses continue to allow Amazon to drive greater profitability while still continuing to invest
- Cloud is in a multi-decade secular adoption cycle
- Amazon is gaining share in eCommerce/retail and share of consumers' wallets

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster than expected AWS rev growth and stable margin expansion
- Faster than expected Retail rev growth, stable to expanding 1P Merch Margins
- Greater than expected shipping and fulfillment leverage

RISKS TO DOWNSIDE

- Investments step up and continue for longer than expected
- Merch margins worse than expected
- AWS revenue decelerates and/or margins decline

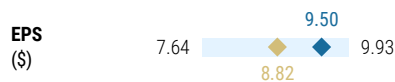
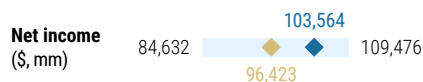
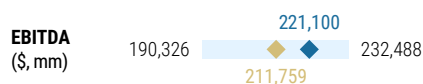
OWNERSHIP POSITIONING

Inst. Owners, % Active	56.4%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	10.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

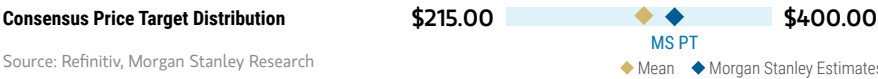
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Apple, Inc. (AAPL.O)

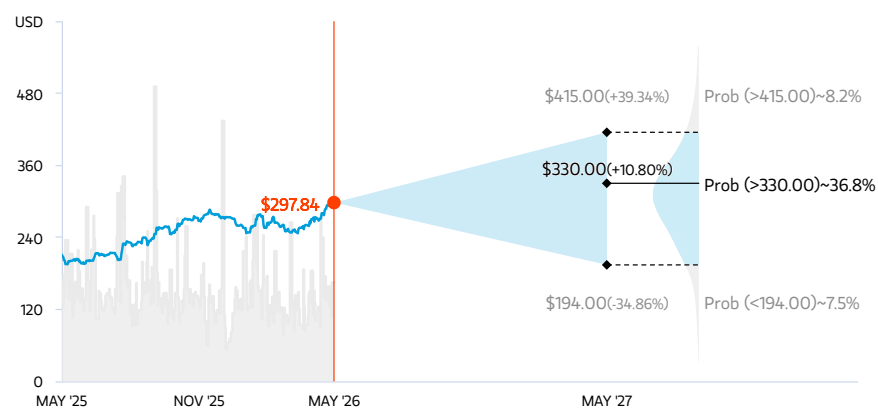
More Near-Term Cost Uncertainties Before a Catalyst-Laden 2H

PRICE TARGET \$330.00

Our \$330 PT is based an 8.3x EV/Sales FY27 multiple, which is derived from a regression of tech and consumer platform peers. Our price target implies ~32x P/E on \$10.23 FY27 EPS.



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



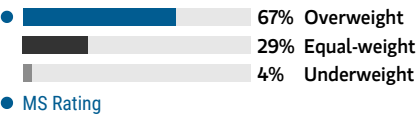
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

With the most elongated iPhone replacement cycles, new AI features rolling out around the world, and a renewed focus on device form factor changes, we believe Apple can accelerate iPhone growth starting in FY26, with replacement cycles peaking as aged installed base starts to upgrade. When combined with consistent, double digit services growth and moderate operating leverage, we believe Apple can earn \$8.89 in FY26 and \$10.23 by FY27. Memory cost dynamic could create uncertainties in the near term. Longer-term, investments in AI, payments, cloud, health, and home, and long runway to grow spend per user from \$1/day today are key arguments for sustained long-term growth and value creation.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: Positive
New Data Era: Positive
Pricing Power: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$415.00	BASE CASE	\$330.00	BEAR CASE	\$194.00
10.9x EV/Sales FY27; 39.1x Bull FY27 P/E of \$10.60		8.3x EV/Sales FY27 or ~32x FY27 EPS of \$10.23		6.3x EV/Sales FY27; 24.6x FY27 Bear EPS of \$7.89	
iPhone replacement cycles accelerate in FY26/FY27 with Robotics as a long-term upside. Consumer demand returns, and stronger than expected iPhone 17 upgrade intentions + mix shift to higher end iPhones drives mid-teens Y/Y iPhone revenue growth, while rising component costs are mitigated given Apple's bargaining power against consumers and the supply chain. Our bull case valuation implies a 39.1x P/E multiple on FY27 Bull EPS, which embeds \$22 per share of upside from its Robotics efforts.		Services and margins remain resilient, while investors start to expect stronger iPhone cycles ahead. Revenue grows 14% Y/Y in FY27, driven by 10%+ Services growth and mid-teens % Products growth. GM may contract Y/Y in FY27 driven by higher Product revenue mix and memory costs, while Apple leverages the supply chain and repricing to mitigate the cost impact. The iPhone replacement cycle are peaking and create pent up demand for upgrades in FY27.		iPhone 17 cycle disappoints as consumer spending weakens more than expected amidst synthetic price increases. Growth slows further across the portfolio as discretionary income is pressured by hard landing, leading to just LSD of Product rev growth and decelerating Services rev growth in FY26. With revenue slightly growing but margin contracting, FY26 EPS will only grow MSD to ~\$7.36. Our bear case valuation implies a 24.6x FY27 P/E, below T5Y avg of 26.0x due to plateauing Services profit mix.	

Risk Reward – Apple, Inc. (AAPL.O)

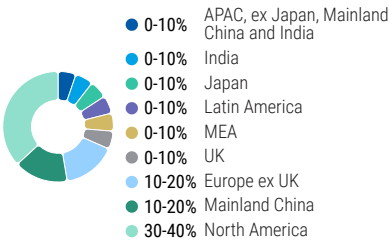
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Total Revenue Growth (Y/Y) (%)	6.4	16.6	14.1	5.5
iPhone Revenue Growth (Y/Y) (%)	4.2	23.6	18.6	3.9
Services Revenue Growth (Y/Y) (%)	13.5	14.0	11.6	10.2
Gross Margin (%)	46.9	48.0	47.6	47.9
EPS Growth (Y/Y) (%)	10.6	19.1	15.1	6.7

INVESTMENT DRIVERS

- Positive iPhone build revisions / clearer signs of accelerating replacement cycles
- Services revenue growth reacceleration
- Apple Intelligence feature and distribution expansion
- New product launches in home, health and AI

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
-------------	---------------------	-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- iPhone 17 outperforms expectations
- Apple Intelligence adoption surprises to the upside
- Apple pulls forward form factor changes
- Services growth re-accelerates despite tougher compares
- Gross margins surprise positively

RISKS TO DOWNSIDE

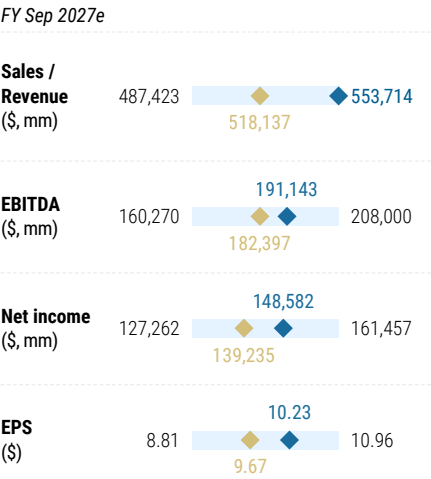
- Weak consumer spending limits iPhone upgrade rates
- Higher memory input costs
- Limited progress on AI features
- Geopolitical tensions
- Increased regulation, particularly with App Store

OWNERSHIP POSITIONING

Inst. Owners, % Active	48.3%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS



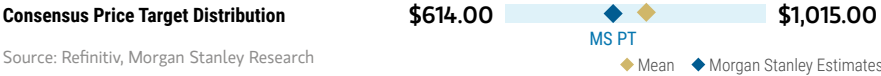
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Meta Platforms Inc (META.O) Top Pick

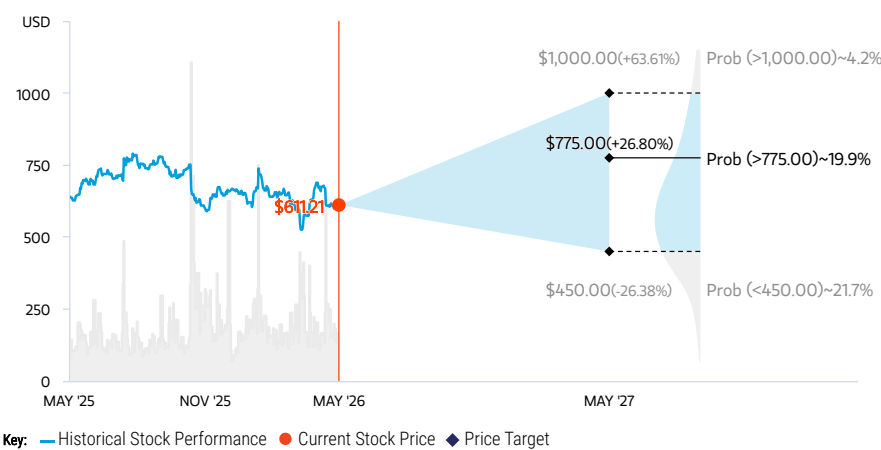
The Age of Efficiency

PRICE TARGET **\$775.00**

Our price target is determined using a discounted cash flow/long-term EBITDA multiple. It implies a ~23x '27 P/E Multiple. Our DCF uses an ~8% WACC and a ~3% terminal growth rate



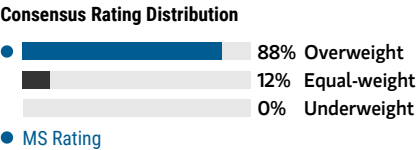
RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- **A Structural Pivot to Focus on Multi-Year Efficiency, Productivity and Leaner Operations...** We think META's "year of efficiency" is more than just a 365 day change...but rather a structural and cultural pivot to operate leaner and with a greater focus on investor returns...even through investment.
- **Importantly, Revenue and Engagement Trends Are Also Improving Across META's Platform...** our industry and company conversations speak to progress driving incremental Reels engagement and monetization...and traction improving ad measurement/attribution in the post IDFA world.
- **3 Underappreciated "Call Options"** including 1) further AI driven upside, 2) subscription adoption and 3) click-to-message.



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

- New Data Era: *Positive*
- Self-help: *Positive*
- Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$1,000.00	BASE CASE	\$775.00	BEAR CASE	\$450.00
Implied ~28x '27 P/E		Implied ~23X base case '27 P/E		Implied ~14x '27 P/E	
AI investments drive increased engagement and lead to new products/tools, which supports outsized ad monetization and revenue growth. Execution on newer offerings (like click to message) could also contribute to higher than expected growth. META could also drive further efficiency gains and be more successful in closing the Reels monetization gap. Reality Labs losses moderate and macro environment is better than expected.		Ad revenue grows ~28% in '26 as META's AI investments drive incremental Reels engagement/monetization and support improved performance and ad measurement/attribution across the Family of Apps. We also see META continuing to focus on efficiency and improving productivity.		Declines in engagement and/or evidence of Reels monetization ramping more slowly than expected could lead to lower growth and greater uncertainty. We also watch for any macro uncertainty, regulation that limits META's ability to target ads, Reality Labs losses widen more materially than expected, and higher capital intensity from mis-execution around the data center build. Any additional opex and capex could weigh on operating income growth and FCF.	

Risk Reward – Meta Platforms Inc (META.O)

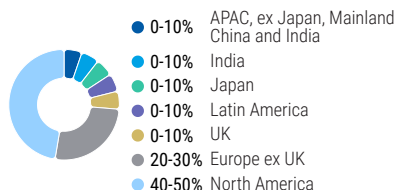
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Constant Currency % Growth (%)	22.5	26.2	20.5	18.3
Operating income (GAAP) (\$, mm)	83,276	92,944	104,243	108,640
Consolidated Total Daily Active Users (mm)	2,239.9	2,294.5	2,344.5	2,389.2

INVESTMENT DRIVERS

- We are positive on META's structural pivot towards efficiency and improving revenue, engagement and Reels. We continue to monitor META's progress on call options (AI, subscriptions, click-to-message) and further investment in AI/data centers.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster than expected Reels monetization & higher engagement growth
- Increased benefit from AI investment
- Revenue driven by subscriptions and/or click-to-message ads
- Further efficiency improvements drive outsized FCF growth

RISKS TO DOWNSIDE

- Macro pressures/weaker consumer spend
- Regulation impacts ability to target ads
- Reality labs losses widen further
- Mis-execution risk could result in higher LT capital intensity

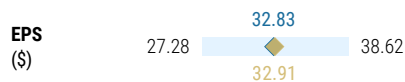
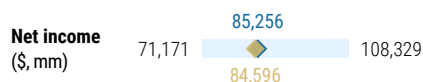
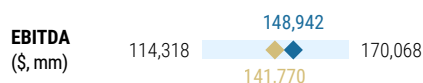
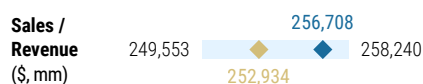
OWNERSHIP POSITIONING

Inst. Owners, % Active	55.8%	
HF Sector Long/Short Ratio	2.7x	
HF Sector Net Exposure	12.9%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – IBM (IBM.N)

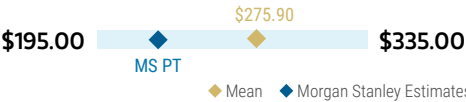
Equal-Weight Rating Balances All-Time High Valuation With Quantum Optionality

PRICE TARGET \$225.00

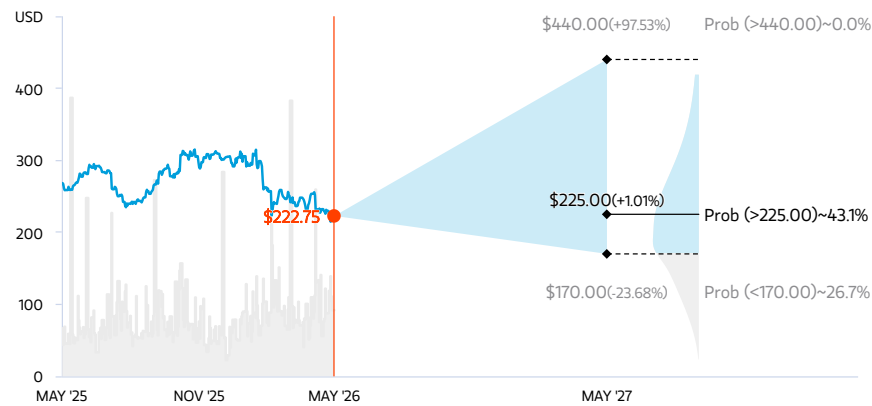
Our \$215 price target reflects a 13.6x P/FCF 2026 multiple of \$16.52 FCF/share, and implies IBM trades in-line with software and consulting peers on a growth adjusted basis.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



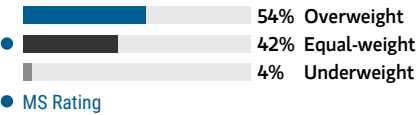
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

IBM has gained credit for driving more consistent performance in recent years and shifting its portfolio to more recurring Software and Services. The acquisition of HashiCorp combined with a mainframe/ELA cycle is resulting in growth accelerating in 2025, but also creates risk of a deceleration in 2026. This risk, among others, is what supports our \$225 price target. Yet, the market is clearly also focused on Quantum, and given the re-rating we have seen from pure-play quantum stocks, IBM's early Quantum leadership has upside optionality. Balancing these facts is what drives our EW-rating, with mis-execution the key bear case risk.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive
Pricing Power: Positive
Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$440.00	BASE CASE	\$225.00	BEAR CASE	\$170.00
25.5x P/FCFe of CY26 \$17.29/share (ex-receivables)		13.6x P/FCFe of CY26 \$16.52/share (ex-receivables)		10.6x P/FCFe of CY26 \$16.02/share (ex-receivables)	
IBM Quantum becomes more material to the model. General consensus is that IBM has a seat at the gen-AI and Quantum table, and customer wins/revenue outpaces expectations. IBM accelerates Consulting & Software growth, as competitive positioning improves on the core business. Additionally, quantum adds \$180B in Enterprise Value on top of our base case valuation, and as a result, shares re-rate to 25.5x P/FCFe 2026 on \$17.29/share.		Stable fundamentals drives 6% Y/Y revenue growth at CC and 7% Y/Y FCF growth in CY26. Consulting grows 2.5% Y/Y at CC due to green shoots in IT services and easy comps, Software grows 11.0% Y/Y at CC due to extended ELA cycle renewal in 2026, Infrastructure declines 1.6% Y/Y at CC. AI Consulting bookings gradually become additive to Consulting revenue growth. We forecast 6% Y/Y revenue growth at CC. We value IBM at 13.6x P/FCF 2026 of \$16.52/shr.		Tough macro environment leads to budget cuts, and IBM FCF grows 4% Y/Y CC in CY26. RHT growth slows due to share loss, and acquisitions in Software fail to increase portfolio relevancy, driving core growth to decelerate faster than expected. ELA cycle in 2026 also fails to materialize. IT Services spend does not rebound due to mis-execution, causing Consulting revenue to decline. Spend on mainframe is significantly cut due to irrelevancy of new mainframe launch to enterprises.	

Risk Reward – IBM (IBM.N)

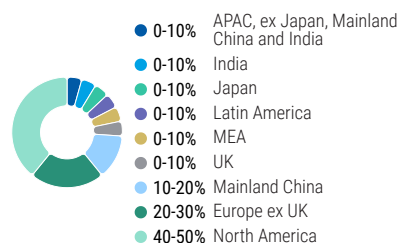
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Constant Currency Revenue Growth (Y/Y) (%)	6.1	5.5	4.2	6.3
Software CC Revenue Growth (Y/Y) (%)	9.1	11.0	8.9	0.0
PTI Margins (Y/Y) (%)	18.823	19.470	20.021	0.000
FCF Growth (Y/Y) (%)	15.6	7.5	6.6	11.1

INVESTMENT DRIVERS

- (+) Sustained/multi-year topline growth
- (+) Strategic divestitures and/or acquisitions
- (+) Positive FCF surprises
- (-) Decelerating SW/Consulting growth below medium-term model
- (-) Margins pressure earnings and FCF

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Strength in Gen AI adds incremental growth to SW and Consulting
- Consulting growth surprises positively
- Incremental M&A accelerates growth
- IBM upsides on FCF
- Demonstrated commercial success in Quantum

RISKS TO DOWNSIDE

- Macro disruption leads to deal elongation
- Accelerated cannibalization of on-prem software
- AI cannibalizes/disrupts core Consulting
- Organic SW growth undergrows 7% target
- Lack of M&A contribution

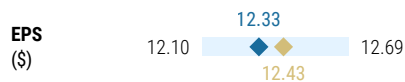
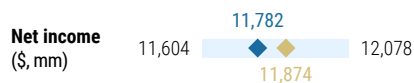
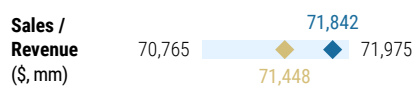
OWNERSHIP POSITIONING

Inst. Owners, % Active	43.2%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Intel Corporation (INTC.O)

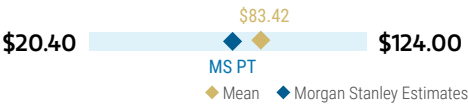
EW as CPU roadmap and foundry strategy remain uncertain

PRICE TARGET \$73.00

~42x EPS CY2027 EPS of \$1.73, 42x is above the high end of the large cap logic semi peer group, reflecting high leverage potential on numbers that are still depressed, and foundry optionality, despite our longer term skepticism

Consensus Price Target Distribution

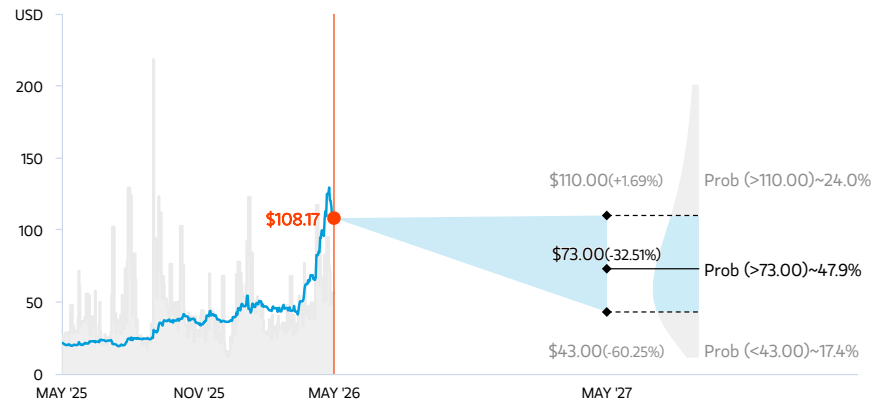
Source: Refinitiv, Morgan Stanley Research



EQUAL-WEIGHT THESIS

Server market shortages are creating a strong near term environment for everyone in CPUs, but at these levels we need more confidence in an enduring market position. We are skeptical about Intel's ability to regain performance leadership in servers, and to generate high returns on foundry investments

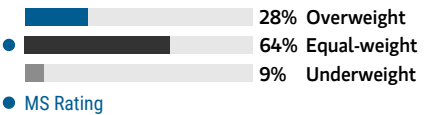
RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive

Self-help: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$110.00

~40x CY2027 EPS of \$2.75

Intel clearly addresses issues with the pipeline and roadmap delivers competitive performance that stabilizes share

- Management executes on product roadmaps helping investor sentiment and the multiple
- Revenues reach \$69bn in CY27, with 50% gross margins

BASE CASE

\$73.00

~42x CY2027 EPS of \$1.73

Server CPU shortages prove to be manageable beyond 12 months, and AMD continues to be in a share gain position.

Given Intel's historic roadmap issues in server; even the foundry successes could prove a distraction relative to the purer goal of making the world's best microprocessors. For us to turn more constructive we would need to see evidence that Intel can regain performance leadership in servers.

BEAR CASE

\$43.00

40x bear case EPS of \$1.07

Cycle turns in 2027 and Intel share losses continue. Data-centric revenue underwhelms due to lackluster product roadmap and foundry dissappoints.

- AMD continues to take share in consumer and cloud segments, with delays in the Intel product portfolio that create risk of erosion in the previously protected enterprise space
- Multiple compresses as Intel is not able to secure meaningful foundry relationships

Risk Reward – Intel Corporation (INTC.O)

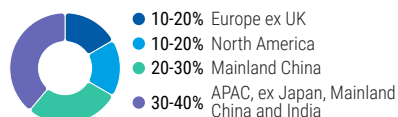
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
GAAP Revenue (\$, mm)	52,853	58,131	64,227	70,446
MW Gross Margin (%)	36.7	40.8	43.6	44.2
MW EPS (\$)	(0.05)	0.67	1.42	1.75
Inventory (\$, mm)	11,618	12,074	11,628	12,635
DOI	123.0	124.8	114.3	114.7

INVESTMENT DRIVERS

- PC and server units and ASPs
- AMD competition in server
- End market growth in data centers, particularly the cloud, enterprise & government, and telco segments

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
---------------------	---------------------	---------------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Foundry partnerships de-risk the story and further improve the multiple
- The company regains lost share in desktop and server following CPU shortages

RISKS TO DOWNSIDE

- AMD competition increasingly becomes more significant, which could lead to further share losses in processors and pressure on ASPs
- Minimal success in foundry leads to an inflated cost structure

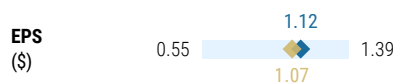
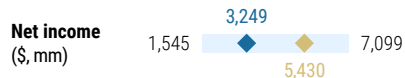
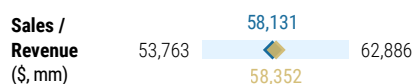
OWNERSHIP POSITIONING

Inst. Owners, % Active	42%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Intuit (INTU.O) Top Pick

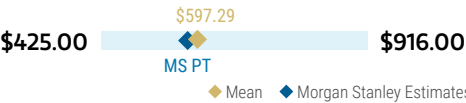
Durable EPS Grower Showing Macro Resiliency

PRICE TARGET **\$580.00**

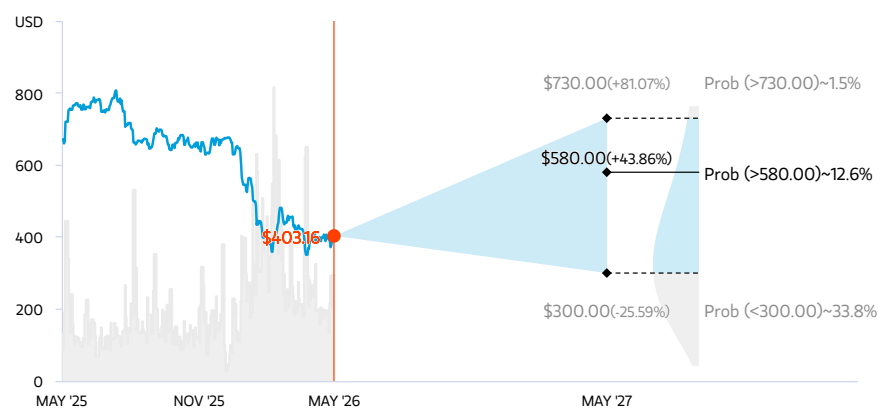
~20x Base Case CY27e EPS of \$28.99, implying a PEG ratio of 1.3x, in-line with large cap software peers at 1.2x.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



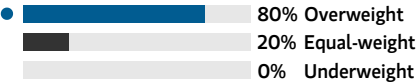
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

Intuit is in the early days of two compelling product cycles: 1) Mid-Market Accounting and 2) Assisted Tax. These product cycles combined with solid yields on efficiency initiatives drive durable high-teens EPS growth, putting Intuit in rarified air among large-cap software peers. Durable mid-teens revenue and high-teens EPS growth are not priced in with the stock trading well below historical PEG ratio of 1.8X and below large cap software average of 1.7x.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE **\$730.00**

~24x Bull Case CY27e EPS of \$30.20

Monetizing the Platform.

Intuit is able to monetize the QBO platform as well as sustain rapid sub growth, resulting in Quickbooks Online growth of 22% through CY27. TurboTax grows 11% annually through CY27 by gaining share in the Assisted Category, alongside beneficial pricing trends. Total Revenue grows at a CAGR of ~15% while margins expand due to improved monetization, lifting CY27 EPS to \$30.20. Stock trades to ~20x CY27e EPS, or ~14x PEG.

BASE CASE **\$580.00**

~20x Base Case CY27e EPS of \$28.99

Focus on Higher Value Solutions Drives Faster Margin Expansion.

QBO add-ons and other high value solutions gain traction alongside new sub adds, bolstering Global Business Solutions Group Revenue to 16% growth through CY27. Consumer grows ~9% annually through CY27. Margins improve to 41.7% in CY27, resulting in EPS of \$28.99. Stock trades to ~20x CY27 EPS estimate, implying a PEG of ~1.3x, in-line with large cap software peers.

BEAR CASE **\$300.00**

~12x Bear Case CY27e EPS of \$25.20

Competition heats up and QBO falls short of expectations.

Online proves to be a more competitive market for both tax and small business resulting in price and market share pressure. Competition constrains pricing and units while investments in int'l expansion fail to pay off. Top-line growth of 11% embeds Consumer growth of 6% and SMB growth of 14% thru CY27. Margin expansion is constrained, resulting in CY27e EPS of \$25.20. The stock trades at 12x CY27e EPS.

Risk Reward – Intuit (INTU.O)

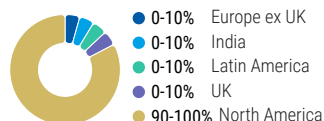
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Online Ecosystem Revenue YoY Growth (%)	24.8	23.0	22.3	22.2
Small Business Segment Revenue YoY Growth (%)	18.5	17.3	16.8	17.1
Operating Margin (%)	40.2	40.9	41.8	42.5
QBO Subscriber Growth (%)	5.7	5.3	3.9	4.0

INVESTMENT DRIVERS

- Quarterly earnings
- Pricing actions
- Cross-selling of newer, higher value products
- Penetration of International markets
- FY Tax Season Results

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
---------------------	---------------------	---------------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Accelerating growth at TurboTax Live and Full Assist
- Greater adoption of QBO Advanced and IES
- Further efficiencies lead to greater margin expansion

RISKS TO DOWNSIDE

- Competitive pressures intensify, leading to further share losses at TurboTax
- QBO growth disappoints as adoption of Advanced slows
- A slowing macro environment negatively impacts the more macro sensitive Credit Karma and Mailchimp businesses

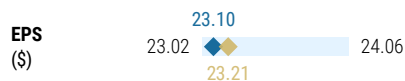
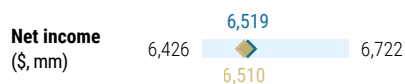
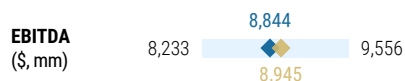
OWNERSHIP POSITIONING

Inst. Owners, % Active	55.3%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jul 2026e



◆ Mean ◆ Morgan Stanley Estimates

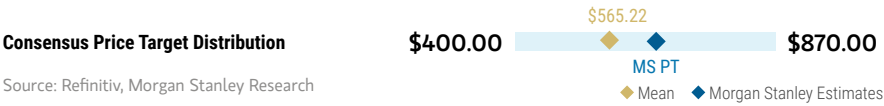
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Microsoft (MSFT.O)

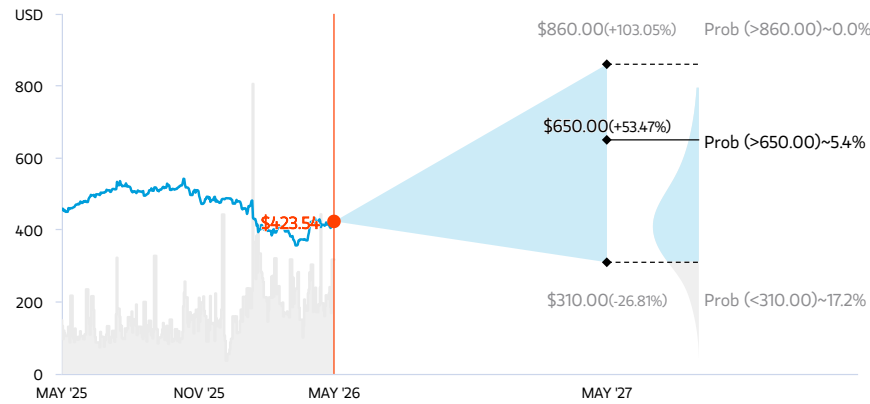
Durability of Earnings Growth & AI Leadership Not Priced-In

PRICE TARGET \$650.00

30x Base Case CY27e EPS of \$21.76. 30x PE is a slight premium to large cap software peers, 1.5x PEG is relatively in line with MSFT historical PEG while a premium to peers, justified by Microsoft's strong positioning and strong execution.



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

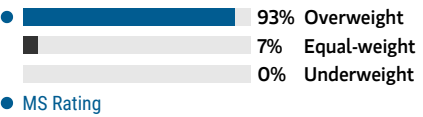


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#).

OVERWEIGHT THESIS

- Strong positioning for public cloud adoption & AI, large distribution channels and installed customer base, and expanding margins supports EPS growth. Weaker cyclical environment improves as cloud optimizations complete - LT trends remain durable.
- Teens revenue growth, opex discipline and strong capital return lead to durable mid- to high-teens total return profile long term.
- At ~30x CY27e GAAP EPS, the durability of Microsoft's earnings growth and the company's premium return profile remains underpriced. Multiple expansion and positive estimate revisions will come from greater than expected strength in commercial businesses including Azure.

Consensus Rating Distribution



Risk Reward Themes

- New Data Era: Positive
- Pricing Power: Positive
- Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$860.00	BASE CASE	\$650.00	BEAR CASE	\$310.00
~35x Bull Case CY27e EPS: \$24.42		~30x Base Case CY27e EPS of \$21.76		~16x Bear Case CY27e EPS: \$19.70	
Azure, O365 & Robust Contribution from AI Drive Top-Line Growth. Acceleration in Azure growth, adoption of higher priced M365 Commercial SKUs and continued seat growth, and robust adoption of Azure AI services and Microsoft AI Copilots across business lines drive mid-teens revenue CAGR in the coming years. Operating margins expand to ~49.3% by CY27 and CY27e EPS is \$24.42. ~35x PE represents a premium to large cap software peers, but roughly inline with Hist Avg PEG at ~1.4x given >20% EPS CAGR.		Azure, M365 & Ramping Contribution from AI Drive Top-Line Growth. Durability of Azure growth, adoption of higher priced M365 Commercial SKUs and continued seat growth, and ramping adoption of Azure AI services & Microsoft AI Copilots across business lines drive low-teens rev CAGR ahead. Operating margins expand beyond ~47.3% by CY27 and CY27e EPS is \$21.76. 30x PE is a premium to large cap software peers, given strong positioning and execution. 1.5x PEG is inline with MSFT historical PEG.		Macro, Scale & Limited AI Adoption Drives Top-Line Growth Deceleration. Azure growth continues deceleration given scale, while M365 reaches penetration and adoption of Azure AI services & Microsoft AI Copilots across business lines remains limited. This drives low double-digit rev CAGR. Operating margins only expand to ~45.3% by CY27 from gross margin pressure and CY27e EPS is \$19.70. ~16x PE is a discount to large cap software peers and a discount on a PEG.	

Risk Reward – Microsoft (MSFT.O)

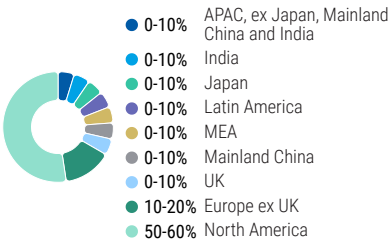
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Azure Revenue Growth (%)	29.7	30.2	26.4	22.4
Server Products On-Prem Growth (%)	(2.0)	(1.0)	(1.0)	(1.0)
Gross Margins (%)	68.8	67.7	66.2	65.7
Operating Margins (%)	45.6	46.6	46.9	47.7
GAAP EPS Growth (%)	15.6	27.2	13.6	22.0

INVESTMENT DRIVERS

- Sustainability of commercial growth, cloud momentum, improving cloud margins
- Improving PC data points

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
-------------	---------------------	-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Cloud adoption accelerates, with Azure as convincing winner
- AI leadership results in substantial revenue contribution over-time
- Operational efficiencies leading to greater than anticipated economies of scale and margin expansion

RISKS TO DOWNSIDE

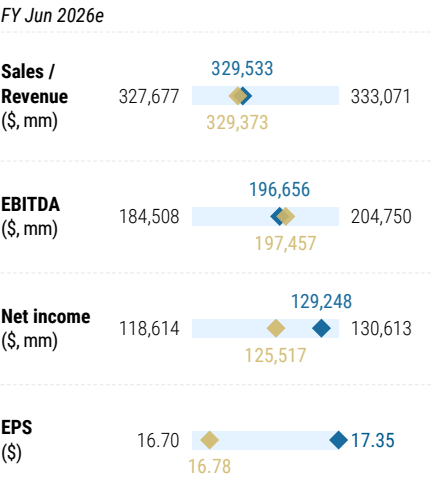
- Weak macro impacting IT spending
- On-premises cannibalization by Cloud
- Increased investments hurt margin expansion
- AI adoption proves limited

OWNERSHIP POSITIONING

Inst. Owners, % Active	54.4%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS



Source: Refinitiv, Morgan Stanley Research

Risk Reward – NVIDIA Corp. (NVDA.O) Top Pick

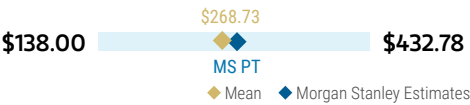
OW as large language model enthusiasm is transforming cloud capex

PRICE TARGET **\$285.00**

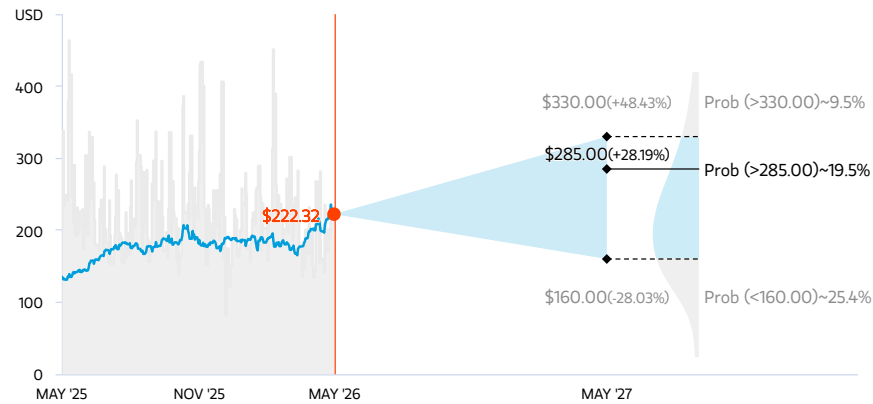
~22x our MW CY27 EPS estimate of \$12.99, in-line with large cap AI peer AVGO, in-line with the broader market and a discount to compute semis peers (AMD/AVGO/INTC) as high marketshare and gross margins leave create limited levers for multiple expansion in the near term.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



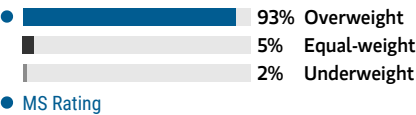
RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



OVERWEIGHT THESIS

- Blackwell remains the premiere solution for gen-AI workloads, where compute demand continues to outstrip supply
- We see continued upward pressure to estimates as demand strength continues, with Rubin expected to maintain Nvidia's performance leadership position

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

- New Data Era: Positive
- Pricing Power: Positive
- Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$330.00	BASE CASE	\$285.00	BEAR CASE	\$160.00
~30x bull case MW CY27 EPS of \$11		~22x our MW CY27 EPS of \$12.99		~18x bear case MW CY27 EPS of \$9	
Bull case has DC revenues continuing to grow through 2027. Upside from networking, GB300 based systems, networking, and software create potential for a full stack AI computing company worthy of an even greater valuation premium		~22x PE in-line with the broader market and a discount to compute semis peers (AMD/AVGO/INTC) as high marketshare and gross margins leave create limited levers for multiple expansion in the near term..		Two key debates both go the wrong direction, causing investors to question future prospects for growth	
- Higher margin data center and AI-focused software and services growth accelerates		- Revenue grows by 76.3% in 2026 and 54.4% in 2027		- Growth in DC slows substantially as supply catches up to demand faster than anticipated	
- GPU based AI PC gains traction, widely increasing the client TAM				- AI development costs come down materially, a strong competitor enters the market to take market share, or customers begin insourcing custom hardware solutions	
- Automotive opportunity takes off, allowing the company to earn recurring, per-car licensing revenue				- Greater than expected impact from tariff headwinds and export controls	

Risk Reward – NVIDIA Corp. (NVDA.O)

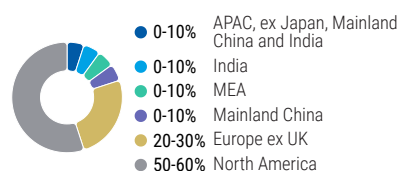
KEY EARNINGS INPUTS

Drivers	2026	2027e	2028e	2029e
GAAP Revenue (\$, mm)	215,938	380,591	587,450	781,342
MW Gross Margin (%)	71.3	74.5	72.7	72.3
MW EPS (\$)	4.61	8.60	12.99	17.84
Inventory (\$, mm)	21,403	36,899	52,985	65,640
DOI	123.3	136.3	118.7	68.5

INVESTMENT DRIVERS

- Growth in AI capex from customers
- Next gen GPUs continue to outpace the competition
- Systems approach allows for higher monetization over time
- New drivers emerge for Nvidia such as AI PCs, autonomous vehicles, robotics, and software

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Growth in training and inference propel data center revenue
- Gaming sales accelerate as GPU based AI PCs gain traction
- Nvidia can recapture lost revenue in China

RISKS TO DOWNSIDE

- AI end markets don't materialize as expected, customers sharply reduce GPU purchases
- AMD reemerges as a viable GPU competitor
- Cloud customers outside of Google are able to develop competitive custom hardware

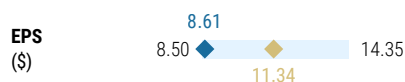
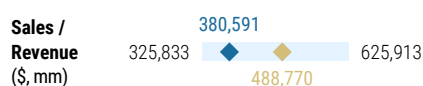
OWNERSHIP POSITIONING

Inst. Owners, % Active	51.7%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

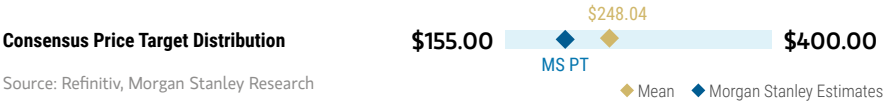
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Oracle Corporation (ORCL.N)

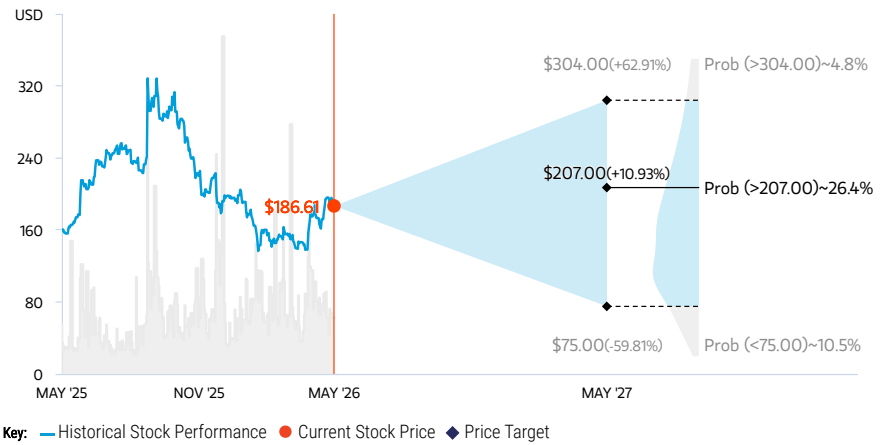
Big Opportunity, Little Room For Error

PRICE TARGET \$207.00

Derived from ~25x FY28e base case NGAAP EPS of \$8.28. Our 25x multiple reflects a premium to ORCL's 5Y average (~20x), given potential for accelerated earnings growth FY29/FY30.



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

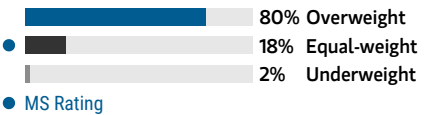


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- Our assessment of the underlying drivers within Oracle's FY30 targets suggest a) acceleration is expected in other areas of the business (e.g. SaaS, core OCI) b) substantial operating leverage and c) favorable outcomes in financing its infrastructure build out.
- While robust RPO provides visibility towards achievement of \$225 billion of FY30 revenue, magnitude and duration of GPUaaS investment cycle remain highly uncertain, as do longer term economics -- particularly given mounting balance sheet obligations.
- Given the importance of execution across numerous vectors, we see a balanced risk reward on shares at current levels.

Consensus Rating Distribution



BULL CASE

\$304.00

~30x FY30e SOTP NGAAP EPS of \$11.97 (disc. back)
30x FY30 SOTP EPS of ~\$11.97, discounted back to FY28 at an 8.7% WACC. Our Bull Case FY30 EPS contemplates ~\$9.07 of core earnings power, and ~\$2.90 of EPS contribution from GPUaaS. On core earnings power, our FY30 EPS estimate assumes a) revenues of ~\$89 billion, NGAAP gross margins of 70.8%, and c) NGAAP operating margins of 54.7%. For GPUaaS, our ~\$2.90 EPS estimate assumes that GPUaaS revenue scales to ~\$110 billion by FY30, with associated NGAAP gross margins scaling to ~30%.

BASE CASE

\$207.00

~25x FY28e Base Case NGAAP EPS of \$8.28
25x Base Case FY28 NGAAP EPS of \$8.28. Our base case contemplates topline performance closer to Analyst Day targets (~\$123.2 billion vs. ~\$130 billion target), though also reflects meaningful underperformance on EPS (vs. \$10.65 target). This is driven by estimated impact of incremental interest expense associated with debt issuance and lease obligations, partially offset by strong opex discipline (NGAAP opex % of FY28 revenue of 13.6%, vs. 24.2% in FY26e).

BEAR CASE

\$75.00

~18x FY28e Core (ex-GPUaaS) GAAP EPS of \$4.16
18x FY28 Core GAAP earnings power (ex-GPUaaS) of \$4.16. Our bear case assumes Oracle below historical averages given lack of confidence towards accelerating EPS growth in the out years as GPUaaS opportunity falls meaningfully short of expectations. Our Bear Case EPS of \$4.16 reflects our FY28 core earnings power, burdened by a) SBC and intangible amortization and b) 50% of our estimated FY28 lease expenses (implying that Oracle would be able to exit ~50% of existing lease agreements).

Risk Reward – Oracle Corporation (ORCL.N)

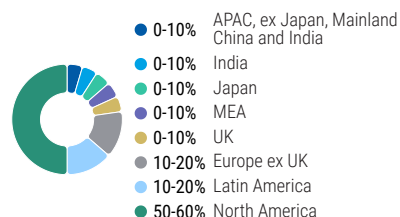
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Cloud Services and License Support YoY Growth (%)	11.8	20.0	43.4	45.7
Total Revenue YoY Growth (%)	8.4	17.1	32.2	38.7
Operating Margin % (%)	43.6	42.5	42.9	38.5
Earnings Per Share YoY Growth (%)	8.4	20.8	7.1	6.2

INVESTMENT DRIVERS

- Execution of GPUaaS build out
- Additional share repurchases
- Accretive acquisitions

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
-----------------	-------------------------	-----------------	------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster than expected OCI capacity ramps
- Stronger than expected OCI gross margins
- Accelerated adoption of Fusion Apps and Cloud Database across the installed base
- Accelerated market share gains in non-AI Cloud

RISKS TO DOWNSIDE

- Challenges in ramping OCI capacity
- Weaker than expect OCI gross margins
- GPUaaS capacity investments drive substantial leverage
- Disruptive technologies in the data management market

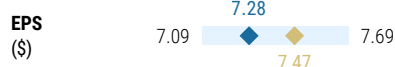
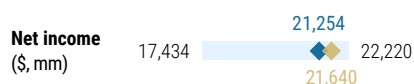
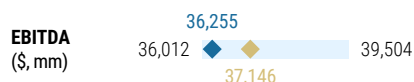
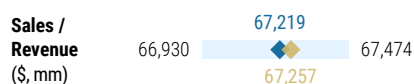
OWNERSHIP POSITIONING

Inst. Owners, % Active	52.2%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY May 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

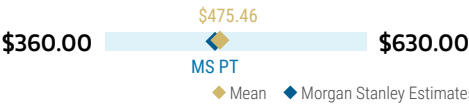
Risk Reward – Broadcom Inc. (AVGO.O)

Overweight on growth in AI, recovery in core semis, and potential VMW upside.

PRICE TARGET \$470.00

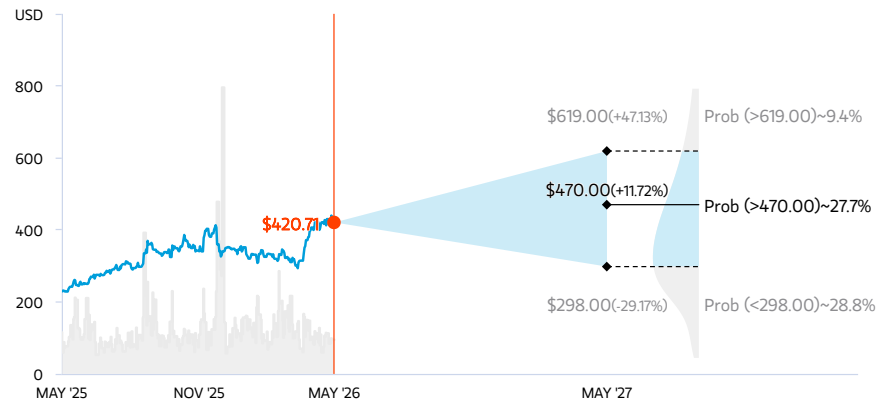
We value AVGO at 27X CY2027e ModelWare EPS of \$17.39. This is roughly 24x non-GAAP EPS of \$19.54, and reflects a slight premium over AI peers that accounts for their outsized AI growth potential and long-term prospects in ASICs.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



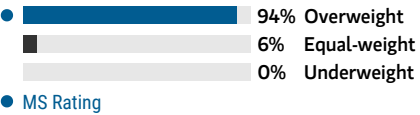
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#).

OVERWEIGHT THESIS

- AVGO has the second largest AI exposure (in absolute dollars) in our coverage and is poised to grow as hyperscale capex increases. We see the company maintaining their premium multiple as networking and ASIC businesses continue to grow.
- We expect non-AI semis to have a cyclical rebound late next year after a period of high excess inventory in the networking and storage markets.
- We expect VMware to successfully integrate into the portfolio and focus operations, cut costs, and drive stable cash flows.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive
Pricing Power: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$619.00

31X 2027e ModelWare Bull EPS of \$19.96
Revenue growth surprises to the upside and AI revenues grow from ramp of new xPU customers, continued networking strength, and VMware synergies. The stock's valuation multiple expands as investors gain confidence in its AI and M&A strategy.

BASE CASE

\$470.00

27X 2027e ModelWare Base EPS of \$17.39
Posts strong revenue growth in CY26 CY27 driven by strong AI revenues from xPU and Networking, and software growth.

BEAR CASE

\$298.00

20X 2027e ModelWare Bear EPS of \$15.02
Revenue growth disappoints and synergies underwhelm. New customer engagements fail to reach production The stock's valuation multiple falls to 31X

Risk Reward – Broadcom Inc. (AVGO.O)

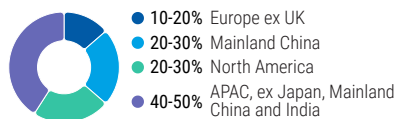
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
GAAP Revenue (\$, mm)	63,887	107,720	168,288	211,568
MW Gross Margin (%)	77.3	73.8	70.4	69.7
MW EPS (\$)	5.39	9.90	15.99	20.57
Inventory (\$, mm)	2,270	6,089	11,115	12,331
DOI	57.2	78.7	81.5	70.3

INVESTMENT DRIVERS

- Dominant position in the data center with merchant silicon and ASICs
- Increasing adoption of carrier aggregation, antenna filtering in RF and 5G adoption
- Potential for better than expected accretion from the Symantec deal

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger AI revenues
- Faster recovery in core semis businesses
- Realized VMware synergies

RISKS TO DOWNSIDE

- Lose networking share to Nvidia (Mellanox)
- ASIC chips are uncompetitive; lose customers to competitors
- Execution on VMware acquisition

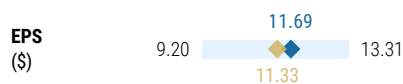
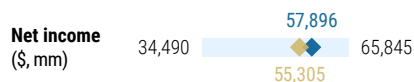
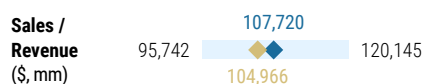
OWNERSHIP POSITIONING

Inst. Owners, % Active	54.8%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Oct 2026e



◆ Mean ◆ Morgan Stanley Estimates

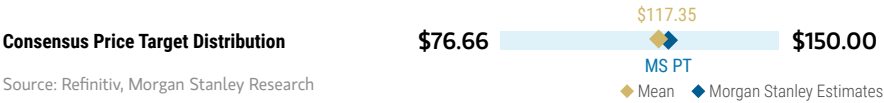
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Cisco Systems Inc (CSCO.O)

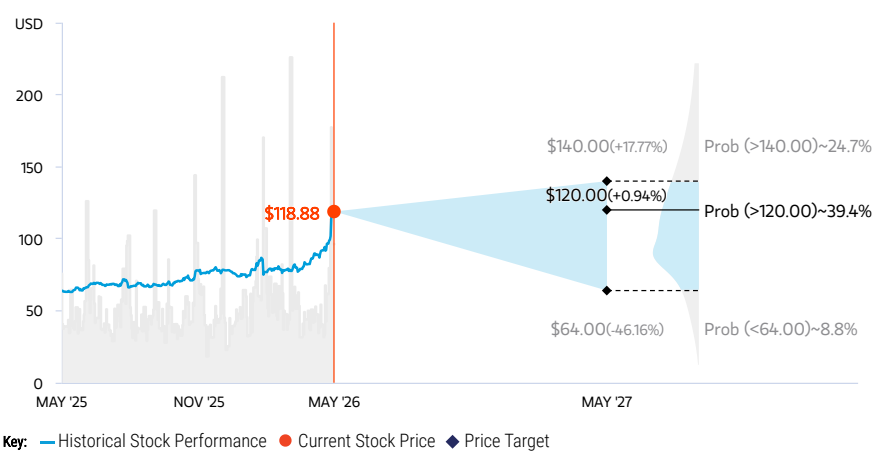
Stock Can See Further Multiple Expansion from Cloud / Ent AI Investment Cycle

PRICE TARGET \$120.00

25x CY27e EPS, upper end of historical trading range



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

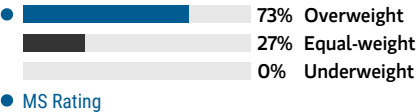


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- Networking has positive market growth dynamics, like the Cat 9K refresh, which helps offset headwinds from share losses.
- Splunk acquisition offers meaningful opportunities for bull case eventually, but minimal expectations for the near term.
- Cloud AI business could help multiple if contribute meaningfully to growth.

Consensus Rating Distribution



Risk Reward Themes

New Data Era: *Positive*
View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$140.00	BASE CASE	\$120.00	BEAR CASE	\$64.00
28x CY27 bull case EPS (\$5)		25x CY27e EPS (\$4.70)		16x CY27 bear case EPS (\$4)	
Becomes a more material participant in AI; enterprise investment cycle allows for acceleration to continue. 10%+ of company growth from AI, able to benefit in outsized way from capacity, able to participate in multi-year investment cycle on the enterprise business, no material pullforward. Trades more in-line with AI names vs. traditional range.		AI cycle help company sustain HSD growth for multiple years. AI business continues to gain share, enterprise business sees some benefit from AI investment, but pullforward in 1H limits upside to FY27. Trades at a premium to long term range given AI gains.		Trades more in line with historical averages as pullforward offsets AI share gains. Enterprise faces headwinds in FY27 from macro headwinds, offsetting gains on the AI side, growth slows to MSD. Valuation falls to historical averages given margin headwinds.	

Risk Reward – Cisco Systems Inc (CSCO.O)

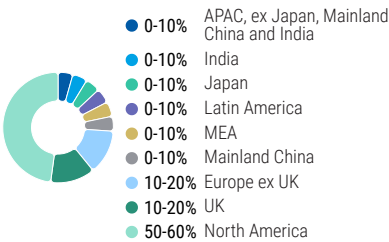
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Revenue Growth Y/Y (%)	5.3	11.0	8.1	4.0
Operating Margin (%)	34.4	34.5	34.6	35.0
EPS Growth Y/Y (%)	1.9	12.5	9.5	5.8
FCF Growth Y/Y (%)	30.1	6.3	4.3	26.3

INVESTMENT DRIVERS

- Can CSCO successfully transition to a software and services oriented business?
- Does the move to the cloud adversely impact CSCO's traditional enterprise market?
- Can it achieve incremental margin improvement as business turns more software & services?

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
-------------	---------------------	-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Security portfolio reaccelerates.
- Recurring portion of business causes more meaningful mix shift.
- Cat 9K refresh contributes meaningfully to growth.
- Hyperscale wins.
- AI capex continues to be revised up.

RISKS TO DOWNSIDE

- Prolonged macro slowdown.
- Share losses accelerate.
- Difficulty seeing continued operating leverage.
- Splunk integration challenges.
- Meaningful pullforward into FY26.

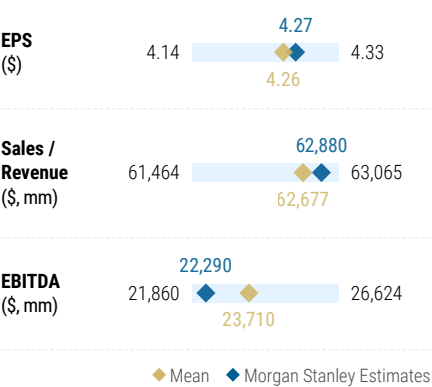
OWNERSHIP POSITIONING

Inst. Owners, % Active	45.4%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jul 2026e



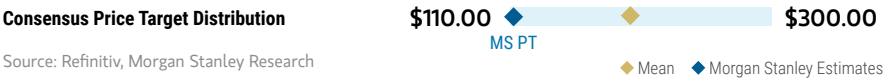
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Dell Technologies Inc. (DELL.N)

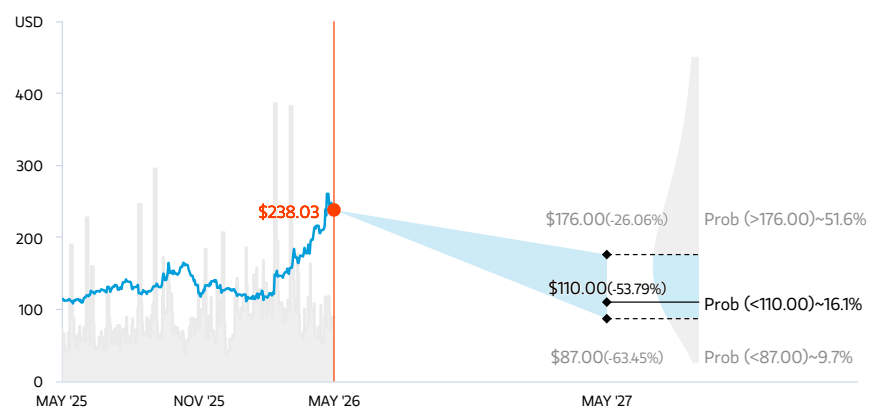
Underweight As Margin Pressure Offsets AI Momentum

PRICE TARGET \$110.00

Our \$110 PT is based on a 10x P/E multiple on FY27 (CY26) EPS of \$10.97. This implies a 16.5x multiple on DELL's AI server business & 9x multiple on DELL's traditional HW business.



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

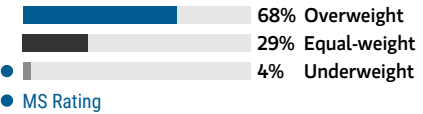


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

UNDERWEIGHT THESIS

DELL is a full stack technology provider managing more data than any other IT provider, which positions the company well to capitalize on the 'Data Era'. Despite the challenging Hardware spending environment, we see a long runway for growth as DELL capitalizes on rapidly accelerating AI Server demand. However, in the near-term, we believe margin pressure from a stronger AI server mix coupled with memory cost inflation will limit multiple expansion and positive estimate revisions from here.

Consensus Rating Distribution



Risk Reward Themes

Contrarian: Negative
New Data Era: Positive
Self-help: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$176.00	BASE CASE	\$110.00	BEAR CASE	\$87.00
13x FY27 bull case EPS of \$13.50		10x FY27 base case EPS of \$10.97		9x FY27 bear case EPS of \$9.65	
Demand exceeds expectations in FY27. PC and enterprise infrastructure demand rebounds quicker than expected, driven by a better macro & prolonged Win 11 refresh activity. DELL gains share across PCs, servers, & storage. CSG grows LSD-MSD Y/Y in FY27 as DELL gains gains share. ISG grows 50%+ in FY27 driven by demand for AI servers, greater compute needs & software defined storage, with revenue exceeding the COVID period. Cap returns accelerate.		Strong demand for AI Servers, PC market refresh, and accelerating shareholder returns unlocks value.		Demand deteriorates meaningfully and DELL is unable to mitigate margin pressure. DELL tried to raise prices to offset component cost inflation, and as a result demand deteriorates meaningfully. DELL is only able to mitigate ~25% of the headwind from higher memory costs vs. ~70% in our base case. Furthermore, broader macro uncertainty drives a slowdown in AI capex spend. Revenue declines LSD Y/Y and EPS declines MSD Y/Y in FY27. Stock trades to 9x P/E.	
		CSG revenue inflects to 3% Y/Y declines in FY27, a function of mid-teens Y/Y unit declines, partially offset by mid-teens Y/Y ASP growth as higher prices from memory inflation weigh on demand. Traditional infrastructure growth also decelerates Y/Y, to +1% Y/Y on demand challenges and tough comps Y/Y. On the other hand, AI server demand continues to accelerate, growing 100%+ Y/Y in FY27.			

Risk Reward – Dell Technologies Inc. (DELL.N)

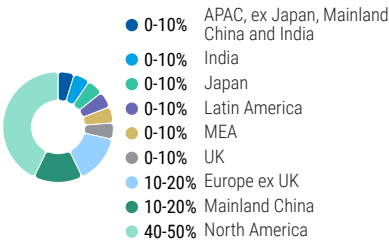
KEY EARNINGS INPUTS

Drivers	2026	2027e	2028e	2029e
Revenue Growth (Y/Y) (%)	18.8	21.8	8.5	6.4
Non-GAAP Gross Margin (%)	20.4	16.9	16.1	16.4
Non-GAAP Operating Margin (%)	8.8	7.4	7.0	7.2
FCF (\$M) (\$, mm)	8,552	6,998	8,090	8,453

INVESTMENT DRIVERS

- AI Server wins/backlog growth
- PC's inflect to growth
- Capital return commitment exceeds expectations
- Continued share gains in Servers, Storage and PCs
- Mix shift to storage benefits gross margin

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
-------------	---------------------	-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- ISG accelerates due to pent up refresh demand & datacenter modernization
- Commercial PC refresh ahead of Win 10 EOL in Oct '25
- AI Server demand drives Server ASPs materially higher

RISKS TO DOWNSIDE

- The hardware downcycle elongates as recession constrains spending through 2025 and into 2026
- PC share losses
- AI capex slows materially
- Enterprise IT demand cannibalized by cloud workload migration

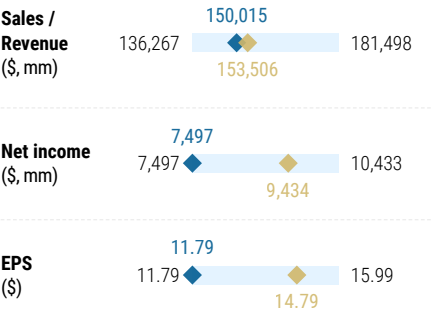
OWNERSHIP POSITIONING

Inst. Owners, % Active	51.3%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jan 2028e



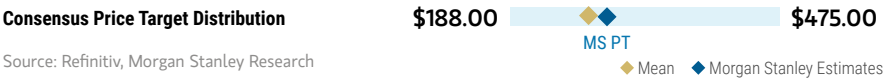
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Salesforce, Inc. (CRM.N)

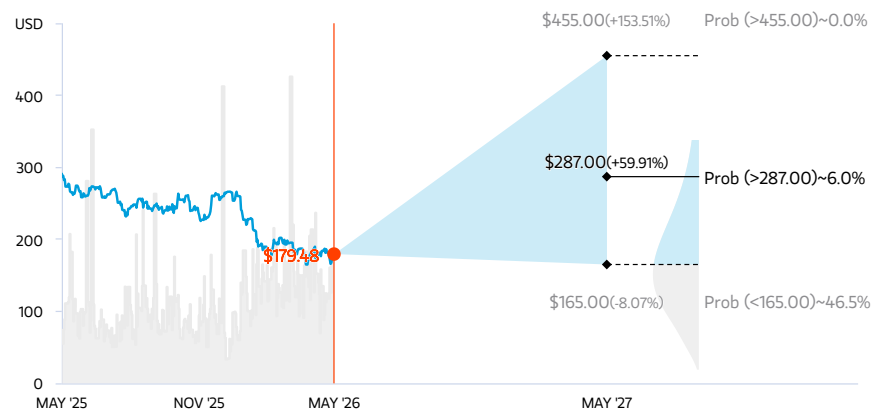
Underappreciated Topline Durability, More Room for Margin Expansion

PRICE TARGET \$287.00

Based on a 14x multiple applied to our FY28e FCF per share of ~\$18, discounted back at ~10%, adding back ~\$29 net cash per share.



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



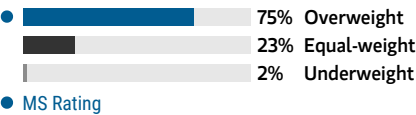
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- Salesforce remains one of the best secularly positioned names within Software, as the global incumbent for front-office applications and a platform squarely addressing many of enterprises' top digital transformation needs.
- Low investor expectations vs potential topline upside drivers in price increases, product bundling and Data Cloud adoption frame an attractive risk/reward. The ramp in GenAI apps may still be >12 months away; however, Data Cloud likely proves a bridge to better growth.
- Shares continue to trade at a discount to large cap Software peers on a GAAP PEG basis, a gap we expect to narrow as Salesforce continues to display above consensus top & bottom line growth.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

- New Data Era: Positive
Pricing Power: Positive
Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$455.00	BASE CASE	\$287.00	BEAR CASE	\$165.00
18x FY28e FCF of ~\$23B		14x FY28e FCF of ~\$18B		10x FY28e FCF of ~\$15B	
~15% FY25-28 revenue CAGR, on the back of strong customer growth and additions, rapid adoption of Agentforce and Data Cloud, and improved renewal rates as CRM becomes more of a strategic tech provider for customers. A larger base of high margin renewal business drives op. margins to ~39% by FY28. A ~20%+ FCF growth CAGR supports CRM's multiple at 18x EV/FCF in FY28, yielding a forward twelve month \$455 valuation, assuming a ~10% discount rate.		Sustainable teens revenue CAGR, benefited by recent M&A. Seat counts expand in Sales & Service Clouds, while Platform & Data Clouds become material. Revenue grows at a ~10% CAGR from FY25-28 & FCF benefits as op margins grow to ~35% by FY28. We value shares at 14x EV/FCF in FY28 discounted at a ~10% WACC. Our PT implies 14x CY27 FCF, a discount to the large-cap software average.		Prolonged macro downturn drives high single digit revenue growth. A tepid spending environment amid macro weakness and increasing attrition pressures topline growth well-below pre-Covid levels over the next 3 years. Incremental investments limit margin expansion potential despite increasing opex discipline, limiting the ability to achieve >34% op. margins by FY28. CRM trades at 10x EV/FCF in FY28, yielding a forward twelve month \$165 valuation, assuming a ~10% discount rate.	

Risk Reward – Salesforce, Inc. (CRM.N)

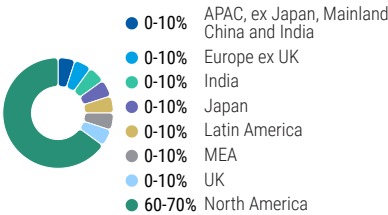
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Total Billings YoY Growth (%)	8.6	13.8	8.3	0.0
Current Remaining Performance Obligations YoY (%)	9.4	16.2	11.6	0.0
Current RPO-Base Bookings YoY (%)	7.0	14.6	8.2	0.0
Operating Margin % (%)	33.0	34.1	34.3	35.0

INVESTMENT DRIVERS

- Organic revenue growth sustains near high-teens CAGR
- Balanced revenue growth and margin framework following recent M&A

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
-------------	---------------------	-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Quicker than expected ramp in Generative AI products
- Announcements of significant new cost cutting initiatives
- Larger buyback authorizations & faster deployment of buybacks

RISKS TO DOWNSIDE

- Data Cloud uptake slows
- Go-to-market improvements stall
- GenAI investments could weigh on margins
- Demand for new CRM front-office solutions crowded out as enterprises utilize alternative platforms

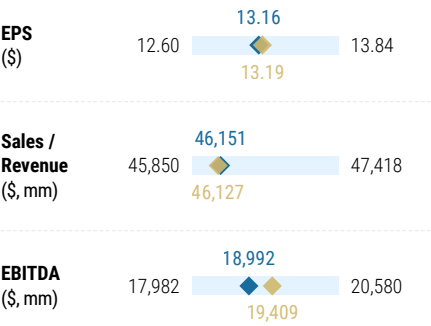
OWNERSHIP POSITIONING

Inst. Owners, % Active	55.3%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jan 2027e



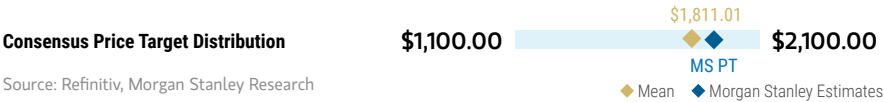
Source: Refinitiv, Morgan Stanley Research

Risk Reward – KLA Corp (KLAC.O)

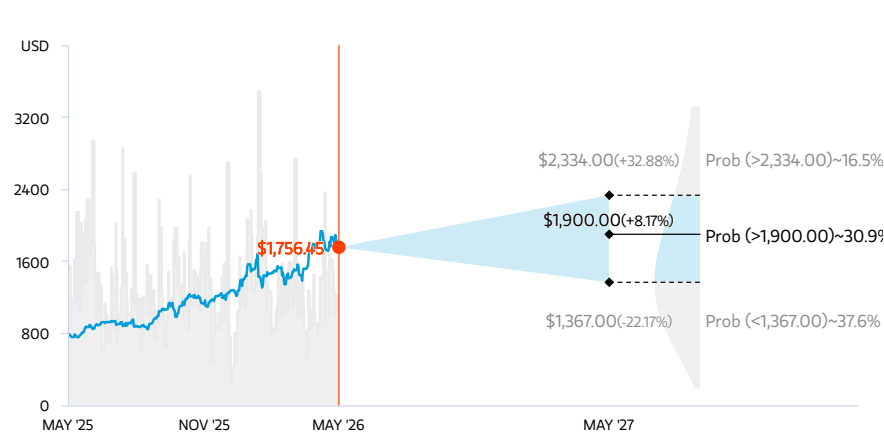
OW on structural and idiosyncratic drivers

PRICE TARGET \$1,900.00

33x CY27e EPS of \$57.58, a 15% premium to US SPE peers LAM & AMAT to reflect growth prospects in foundry logic and DRAM.



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



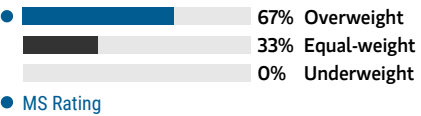
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

■ KLA's fundamental story has gone from strength to strength: 1) Process control intensity: to structurally increase going forward due to larger die sizes and increased design starts, both causes of lower yield. 2) Share increase: KLA should continue to gain market share in process control given the company is first to inflections and has the fundamental technology to enable that. ■ We believe a premium multiple to SPE peers is justified given KLA's growth prospects (outperformance vs WFE) as well as its superior gross margin.

Consensus Rating Distribution



Risk Reward Themes

New Data Era: Positive
Pricing Power: Positive
Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$2,334.00	BASE CASE	\$1,900.00	BEAR CASE	\$1,367.00
36x CY27e EPS of \$64.83		33x CY27e EPS of \$57.58		26x CY27e EPS of \$52.57	
KLA gains more market share than expected on the back of leading edge logic spending accelerating and process control intensity in DRAM increasing greater than expected.		KLA grows ahead of WFE in 2026-2027 due to increased process control intensity in leading edge logic and DRAM.		KLA's market share contracts due to leading edge logic and DRAM investment slowing down. KLA faces increasing competition in mask inspection, pressuring valuation multiple.	
- In this scenario we assume a considerable premium to US SPE peers (AMAT/LAM) as KLA's growth prospects are more appreciated.		- In this scenario we assume a premium to US SPE peers (AMAT/LAM) that is slightly higher than historic due to KLA's growth prospects.		- In this scenario we assume multiple in-line with US SPE peers (AMAT/LAM)	
- Revenue grows 36.1% in CY27 as KLAC sees outsized growth due to increased market share.		- Revenue grows 23.7% in CY27 and KLA slightly increases market share.		- Revenue growth of 14.4% in CY27 as leading edge logic growth is limited.	
- GM expands to 63.3% and EPS grows to \$64.83 in 2027.		- GM expands to 62.6% and EPS grows to \$57.58 in 2027		- GM declines to 61.6% and EPS slightly increases to \$52.57 in 2027	

Risk Reward – KLA Corp (KLAC.O)

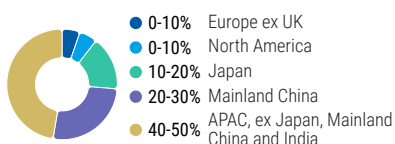
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
GAAP Revenue (\$, mm)	12,156	13,524	17,509	19,809
MW Gross Margin (%)	62.3	62.2	62.4	62.7
MW EPS (\$)	33.29	36.96	52.33	60.60
Inventory (\$, mm)	3,212	3,623	4,589	4,889
DOI	246.7	251.5	249.0	236.7

INVESTMENT DRIVERS

- WFE market growth, specifically in leading edge logic where KLA has outsized exposure.
- Process control intensity and KLA's market share within process control.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
---------------------	---------------------	---------------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Foundries (TSMC, Intel, Samsung) pull forward their logic roadmaps
- Design starts in leading edge nodes increase
- Process control intensity increases in DRAM due to HBM

RISKS TO DOWNSIDE

- Certain foundries (Intel, Samsung) scale back their aspirations
- Market share loss in mask inspection to Lasertec or in e-beam to AMAT or ASML
- China restrictions

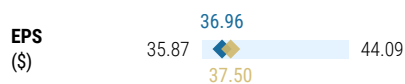
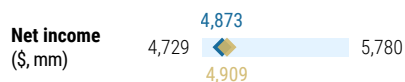
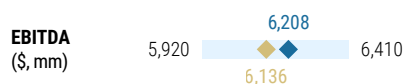
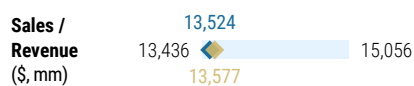
OWNERSHIP POSITIONING

Inst. Owners, % Active	52.5%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Lam Research Corp (LRCX.O)

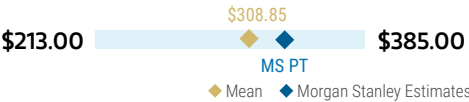
WFE outperformance intact with NAND & Logic

PRICE TARGET \$331.00

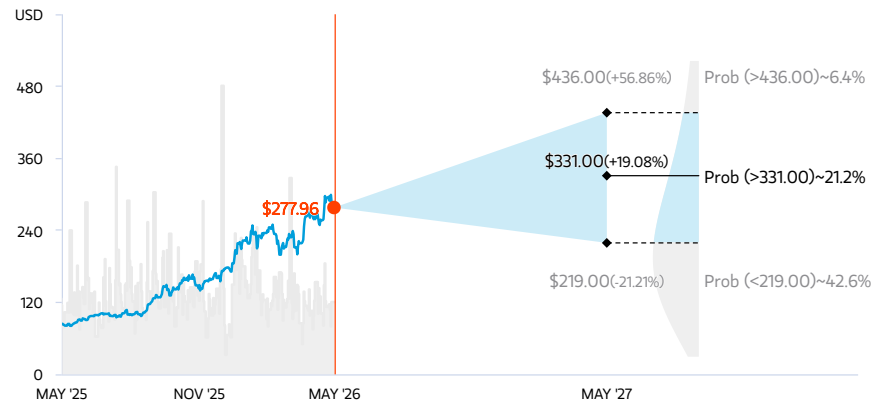
34x CY27 non-GAAP EPS of \$9.73, multiple reflects a 20% premium to AMAT (28x) to reflect LAM's market share gains.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



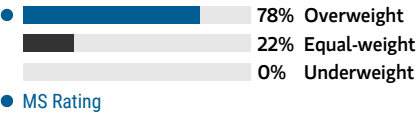
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

■ After shipments underperformed WFE by 33ppt in 2023 due to a cyclical decline in NAND and China entity list impact, LAM outperformed WFE by 8ppt in 2024 and we estimate another 27ppt outperformance in 2025 driven by NAND, China, and TSMC. We model LAM's system shipments to outperform WFE in 2026 & 2027 for the 3rd and 4th consecutive year as NAND and non-China foundry logic continues to strengthen. ■ LAM has unique drivers supporting the long-term growth story as the company is seeing gross margin expansion from shifting manufacturing to Malaysia, is positioned well to gain share with the 4F2 transition in DRAM and in advanced packaging.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive
Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$436.00	BASE CASE	\$331.00	BEAR CASE	\$219.00
~39x CY27 non-GAAP EPS \$11.18		~34x CY27 non-GAAP EPS of \$9.73		~25x CY27 non-GAAP EPS of \$8.76	
DRAM and NAND pricing and utilization improve further than expected, and LAM sees record revenue in CY27. The company sees revenue growth exceed WFE on the back of market share gains in leading edge nodes.		We expect LAM to outperform in 2026-27 on the back of NAND and foundry logic strength.		Memory markets turn weaker and LAM loses share to competitors.	
- Revenue growth of 45.6% in CY27 as LAM benefits from NAND WFE growth and market share gains		— Revenue growth of 31.2% in CY27 driven by NAND and foundry logic		- Revenue growth of 21.4% in CY27 as memory recovery more muted than expected	
- GM expands to 52.4% in CY27		- CY27 GM of 51.4% as regional mix deterioration is offset by top-line growth		- GM of 50.6% in CY27	

Risk Reward – Lam Research Corp (LRCX.O)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
GAAP Revenue (\$, mm)	18,436	23,173	31,494	38,491
MW Gross Margin (%)	48.8	50.2	51.0	51.6
Non-GAAP EPS (\$)	4.13	5.72	8.39	10.74
Inventory (\$, mm)	4,308	4,548	5,685	6,153
DOI	164.0	141.6	132.6	118.8

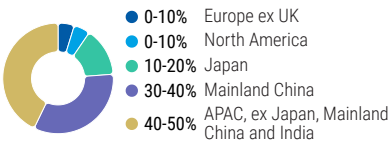
CATALYST CALENDAR

Date	Event	Source: Refinitiv, Morgan Stanley
04 Nov 2026 - 08 Nov 2026	Lam Research Corp Annual Shareholders Meeting	

INVESTMENT DRIVERS

- NAND WFE market trends (LAM has outsized share)
- Market share gains from new logic architectures (GAA, backside power)

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
-------------	---------------------	-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Market share gains in new logic architectures (GAA, backside power)
- NAND capex recovers to new highs
- Continued share gains in China

RISKS TO DOWNSIDE

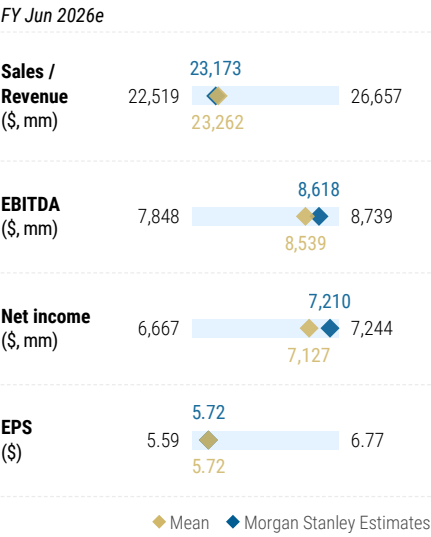
- NAND WFE weaker than expected
- Widespread export restrictions to China
- Market share loss to competitors in etch

OWNERSHIP POSITIONING

Inst. Owners, % Active	49.8%
HF Sector Long/Short Ratio	2x
HF Sector Net Exposure	25.3%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS



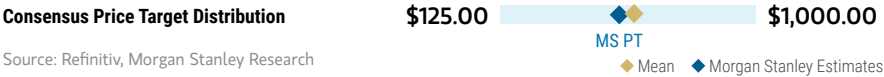
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Micron Technology Inc. (MU.O)

See multiple quarters of upward revisions, with AI driving a higher multiple

PRICE TARGET \$520.00

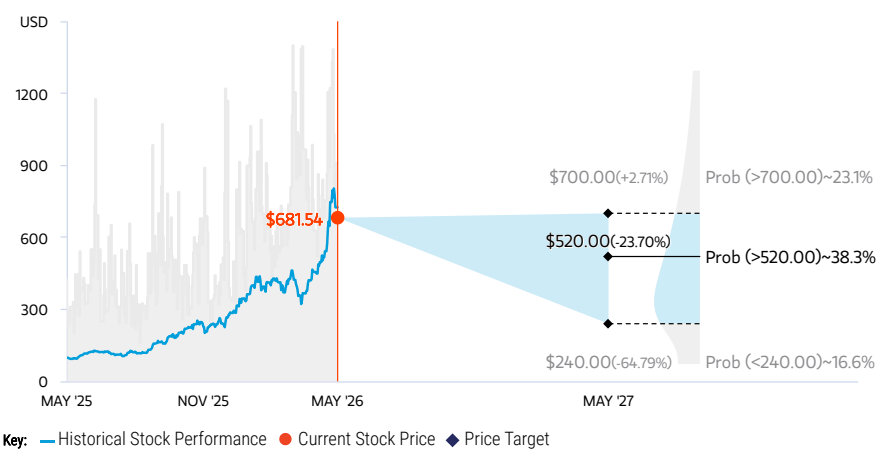
~25x through-cycle earnings of US \$21.00, a premium to history reflecting new opportunities in AI, At the high end of broader semis.



OVERWEIGHT THESIS

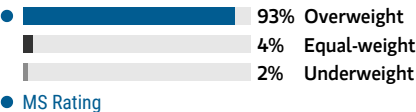
- DRAM fundamentals are in uncharted territory, and should continue to improve as datacenter/AI continue their upward trajectory
- Execution on AI is underappreciated, and we expect Micron to maintain share in CY26 vs the competition. Supporting margins and driving a higher multiple than prior cycles
- Cycle longevity will be key, and S/D may stay tight for 2-3 more years

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

Consensus Rating Distribution



Risk Reward Themes

New Data Era: Positive
Secular Growth: Positive
View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$700.00	BASE CASE	\$520.00	BEAR CASE	\$240.00
28x through-cycle earnings of US\$25.00		~25x through-cycle earnings of US\$21.00		16x through-cycle earnings of US\$15.00	
Gross margin improvement continues, driven by scale, AI mix, and cost improvements in new products. Pricing pressure alleviates as demand sustainably moves above supply driven by HBM's wafer intensity, a product category where MU cements performance leadership on future products.		Our through-cycle earnings estimate of US\$21.00 is a premium to average earnings over the last 8 years due mostly to AI. Our 25x multiple reflects the market's enthusiasm for the AI opportunity, and at the midpoint of the semis group		Memory begins to enter a downturn in early 2027. As the strength attributed to demand in the early part of the year ended up being inventory build at customers. Multiple compresses severely after an underwhelming peak	

Risk Reward – Micron Technology Inc. (MU.O)

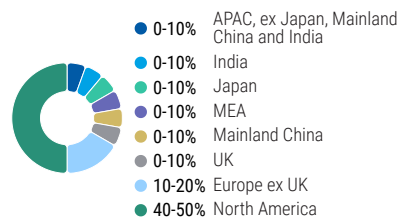
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
GAAP Revenue (\$, mm)	37,378	110,489	150,620	138,790
Non Gaap Gross Margin (%)	40.9	77.8	82.3	78.8
Non-GAAP EPS (\$)	8.29	59.36	81.36	72.32
Inventory (\$, mm)	8,355	8,564	9,100	10,164
DOI	133.7	123.5	120.6	122.4

INVESTMENT DRIVERS

- Improved pricing and demand strength drive earnings growth

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
--------------------	---------------------	--------------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Customers continue to demonstrate an appetite to take on inventory around macroeconomic uncertainty
- Additional wafer intensity of HBM further improves overall supply and demand
- Micron's HBM share surpasses expectations

RISKS TO DOWNSIDE

- Pricing can turn quickly; a falter in end demand with inventories elevated could lead to a swift price reduction
- HBM demand falters and competition intensifies, pressuring pricing

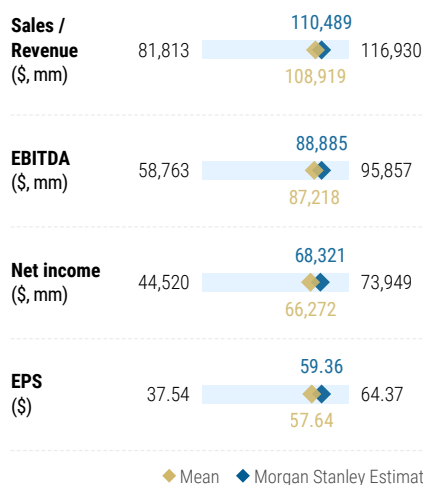
OWNERSHIP POSITIONING

Inst. Owners, % Active	50.1%				
HF Sector Long/Short Ratio	2x				
HF Sector Net Exposure	25.3%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Oct 2026e



Source: Refinitiv, Morgan Stanley Research

Risk Reward – Western Digital (WDC.O)

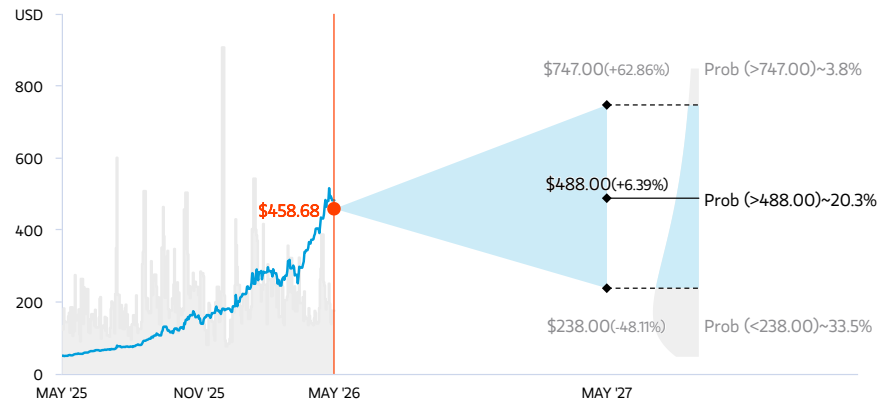
An Undervalued Special Sit Tied To Once In a Generation Data Center Buildout

PRICE TARGET \$488.00

Our PT implies 18.0x CY27 EPS of \$27.12, as we expect earnings upward revisions by the Street with shares trading on par with STX at 4.0x turns above the peak multiples (14.0x) in the previous industry upcycle.



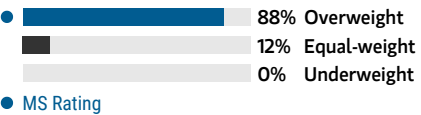
RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



OVERWEIGHT THESIS

WDC benefits from accelerating data growth, which drives storage demand in the cloud and on-prem. We believe that the HDD cycle is 'Stronger for Longer' – demand outstrips supply with continued upward pressure in HDD pricing – and entering a period of AI-driven storage demand growth, which will benefit both HDDs and SSDs shipments. While WDC is behind STX in HAMR timeline, we believe WDC will retain its leading HDD revenue and profits market share in the near term with its competitive UltraSMR solutions for high-capacity drives before the industry shifts to wider adoption of HAMR. Accelerated mix shift toward higher-capacity drives lowers cost per TB, supporting continued margin expansion.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive
Pricing Power: Positive
Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$747.00

22.0x CY27 Bull-case EPS of \$33.95

Cloud storage demand surprises positively, gross margins expand more quickly due to much higher high-capacity mix, and WDC sees a greater AI-driven demand uplift. Gross margins approaching 60%+ range in FY27-28. Incremental HDD demand from AI in CY26 is more material than expected. Pricing environment remains healthy into CY27, driving mid-teens % Y/Y price per EB growth. HAMR timeline accelerates, with earlier-than-expected qualification completion and volume shipment timing.

BASE CASE

\$488.00

18.0x CY27 EPS of \$27.12

GMs approach 50% range and AI drives HDD demand, creating a compelling EPS story in FY26-27. The HDD market remains healthy in CY26, and AI drives a HDD demand uplift in FY26-28. Increase in high-capacity drive mix expand GMs to 60% levels, and continued opex discipline supports EPS. Our PT assumes 18.0x - in line with our target multiple for STX - which is 4.0x turns above where STX stock multiples traded up to during the previous HDD industry upcycle in 2021-22.

BEAR CASE

\$238.00

14.0x CY27 Bear-case EPS of \$17.00

HDD growth decelerates, gross margins struggle to further expand, and AI-driven demand doesn't materialize. Our bear case assumes the HDD demand growth turns out to be milder than expected. Despite market share leadership in high-capacity drives, headwinds such as underutilization, production charges, and tariffs keep GM depressed and lead to fixed cost deleverage. Our bear case assumes shares trade at 14.0x on our CY27 bear-case EPS of \$17.00.

Risk Reward – Western Digital (WDC.O)

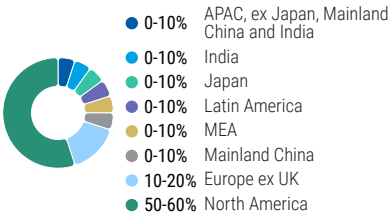
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Revenue Growth (Y/Y) (%)	50.7	35.1	42.9	38.7
HDD Exabyte Growth (Y/Y) (%)	57.8	26.2	28.4	22.9
Nearline HDD Exabyte Growth (Y/Y) (%)	72.2	29.3	31.3	25.0
Non-GAAP Gross Margin (%)	39.4	48.4	58.6	67.8
Non-GAAP Operating Margin (%)	24.4	36.4	49.7	60.8

INVESTMENT DRIVERS

- Positive EPS revisions as cycle strength surprises to upside
- Gross margins approaching mid-50s %
- CSPs qualify on HAMR platform, signaling imminent volume shipments
- Further de-leveraging
- Dividend increase / acceleration of buybacks

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
-------------	---------------------	-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Demand accelerates
- AI drives incremental HDD demand
- Smoother cloud cycles drive multiple expansion
- WDC exhibits more pricing power
- HAMR qualification/volume shipment timeline earlier than expected

RISKS TO DOWNSIDE

- GM doesn't further expand
- Pricing normalizes more than expected
- Geopolitical tensions & tariff impacts
- Competitive pressures & HAMR timeline delays
- Dilution from converts more significant than expected

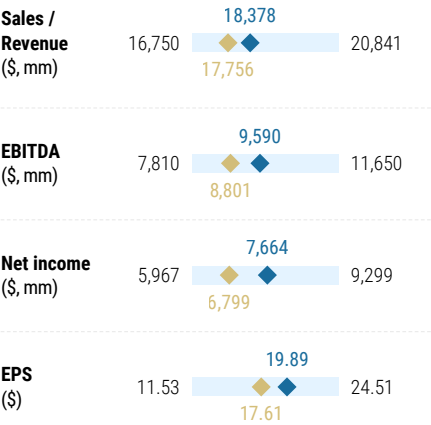
OWNERSHIP POSITIONING

Inst. Owners, % Active	51.6%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2027e



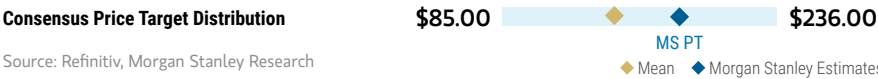
Source: Refinitiv, Morgan Stanley Research

Risk Reward – ServiceNow Inc (NOW.N)

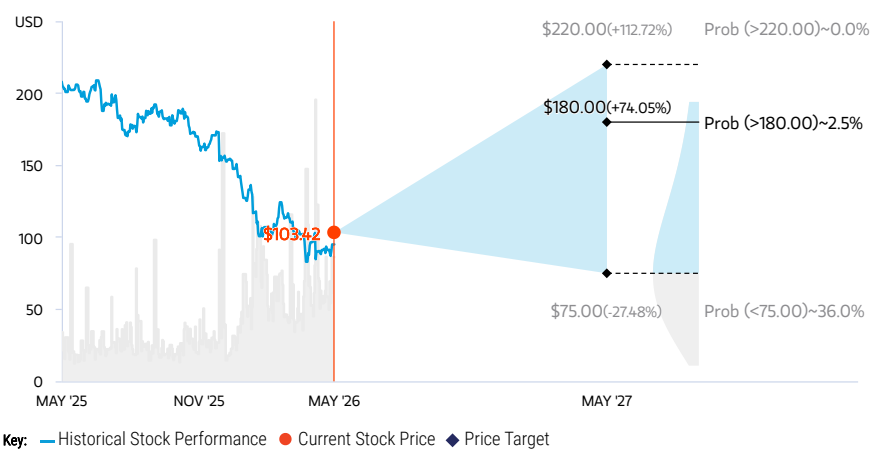
Seeing the Forest For the Trees

PRICE TARGET \$180.00

Discount of 20x Base Case CY30e FCF of ~\$12.2B, discounted back at 11.9% WACC, plus \$11 in CY26 net cash per share. 20x multiple supported by 22% 2-yr FCF CAGR in CY28-CY30.

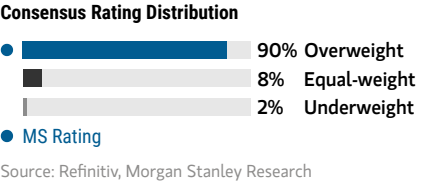


RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



OVERWEIGHT THESIS

ServiceNow's strong network of system integrations and cohesive data fabric position the company well to serve as the go-to workflow automation and agentic orchestration platform. The company has generated 20%+ subscription revenue and free cash flow growth and believe it is well-positioned to achieve a similar growth profile supported by expansion into new workflows and Now Assist/new product adoption.



Risk Reward Themes

New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$220.00	BASE CASE	\$180.00	BEAR CASE	\$75.00
Discount of ~22x Bull Case CY30e FCF of ~\$13.7B		Discount of ~20x Base Case CY30e FCF of ~\$12.2B		Discount of ~8x Bear Case CY30e FCF of ~\$11.7B	
New Markets Take Off. Demand for NOW's core ITSM offering holds strong, demand for non-core IT workflows takes off. Sub Revenue grows '25-'30 at a 21% CAGR, while margins expand to 36% in FY30 from 10% in FY15. NOW trades at 22x our CY30 FCFe of \$13.7B discounted back at 11.9% WACC + \$12 in CY26 net cash/share.		Steady Investment in Expanding Market Oppty With Premier Unit Economics Drives Durable FCF CAGR. NOW delivers solid growth through a combination of success in core ITSM and an increasing revenue contribution from new product areas like Now Assist. Sub Revenue grows '25-'30 at a 19% CAGR, while margins expand to 35% in FY30 from 10% in FY15. NOW trades at 20x our CY30 FCFe of \$12.2B discounted back at 11.9% WACC + \$11 in CY26 net cash/share.		TAM Expansion Stalls. NOW continues to see adoption in ITSM, but the revenue generated from new product areas is less than hoped, weighing on forward revenue growth. Sub Revenue grows '25-'30 at a 19% CAGR, while margins expand to 35% in FY30 from 10% in FY15. NOW trades at 8x our CY30 FCFe of \$11.7B discounted back at 11.9% WACC + \$11 in CY26 net cash/share.	

Risk Reward – ServiceNow Inc (NOW.N)

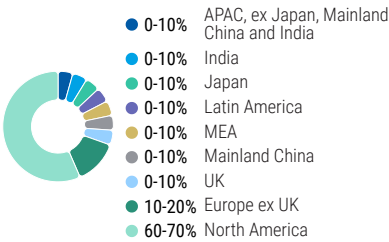
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Con. Duration, CC Subscription Billings YoY Growth (%)	0.0	0.0	0.0	0.0
Subscription Revenue YoY Growth (%)	21.0	22.3	19.0	18.8
Total Revenue YoY Growth (%)	20.9	21.9	18.8	18.7
Operating Margin % (%)	31.2	31.5	32.5	33.5
FCF YoY Growth (%)	34.2	22.1	20.7	20.4

INVESTMENT DRIVERS

- Stable levels of sales productivity with sales headcount growing ~30% annually.
- Growth in ACV in enterprise customers from seat growth + adoption of new use cases.
- Growing share in \$6B TAM for ITSM plus \$54B of additional TAM with newer products.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
-------------	---------------------	-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Greater than expected share gains in new markets as upsell and cross-sell motion takes hold;
- Superior unit economics drive faster than expected FCF growth;
- Improving traction with Federal Government

RISKS TO DOWNSIDE

- Tougher competition from low-end vendors and SaaS peers;
- Sales productivity may decline as with growth if new markets prove challenging;
- Seat-based pricing proves more difficult amidst GenAI disruption

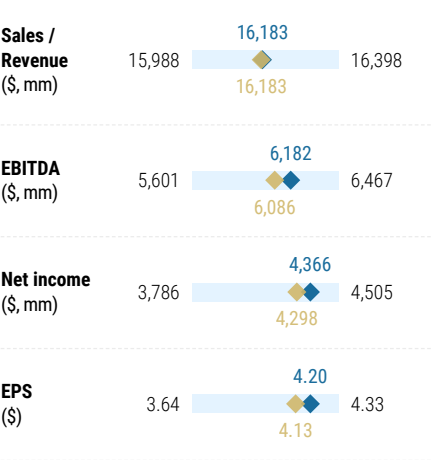
OWNERSHIP POSITIONING

Inst. Owners, % Active	59%				
HF Sector Long/Short Ratio	2x				
HF Sector Net Exposure	25.3%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Risk Reward – Seagate Technology (STX.O) Top Pick

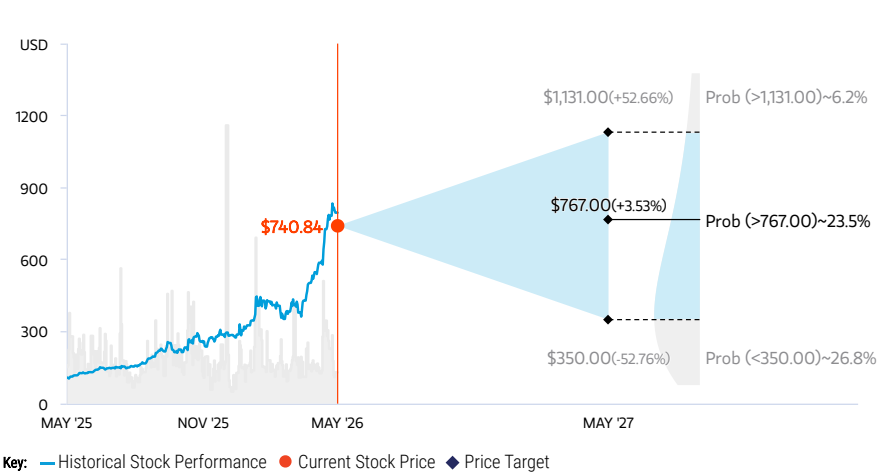
Once in a Generation Data Center Buildout and Tech Leadership Supports OW Rating

PRICE TARGET **\$767.00**

Our PT implies 18.0x our CY27 EPS of \$42.59, as we expect earnings upward revisions by the Street with shares trading 4.0x turns above the peak multiples in the previous industry upcycle.



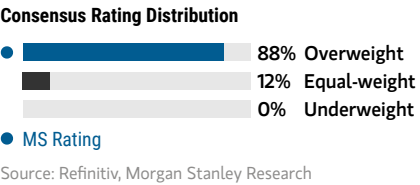
RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

STX benefits from accelerating data growth, which drives storage demand in the cloud and on-prem. We are entering a period of AI-driven storage demand growth, benefitting both HDDs and flash shipments. We believe the HDD industry supply discipline has made the industry more profitable, and that HAMR and STX's cost/pricing actions will provide a tailwind to the company's gross margin profile in the long term, which continues to be underestimated by the market. Combined with opex discipline, we expect a decent multi-year earnings story ahead. As a result, we are Overweight rated on STX.



Risk Reward Themes

New Data Era: *Positive*
Pricing Power: *Positive*
Technology Diffusion: *Positive*
View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$1,131.00	BASE CASE	\$767.00	BEAR CASE	\$350.00
22.0x CY27 Bull-case EPS of \$51.39		18.0x CY27 EPS of \$42.59		14.0x CY27 Bear-case EPS of \$25.00	
Cloud storage demand surprises positively, gross margins expand more quickly due to HAMR mix, and STX sees a greater AI-driven demand uplift. Cloud demand further accelerates into CY26, and HAMR's launch is successful, putting upward pressure on margins amidst market share gain. Gross margins approaching mid-60% levels in FY27-28. STX sees incremental HDD demand from AI in FY26 and it is more material than expected. \$1,131 represents 22.0x P/E on CY27 bull-case EPS of \$51.39.		Gross margins expand to 60% levels and AI drives HDD demand, creating a compelling EPS story in FY26-28. The HDD market remains healthy in CY26, and AI drives a modest HDD demand uplift in FY26-28. HAMR drives gross margins to 60% levels and continued opex discipline, along with share buybacks, supports EPS. Our PT assumes 18.0x CY27 EPS of \$42.59, with STX stock multiples trading 4.0x turns above the peak of previous HDD industry upcycle in 2021-22.		HDD growth decelerates, gross margins struggle to further expand, and AI-driven demand doesn't materialize. HDD demand growth turns out to be milder than expected, keeping gross margins from further expanding. eSSD starts to replace some of the HDD demand in cloud storage environments for cold data, while the HDD industry becomes less irrational and starts expanding capacity, which weigh on valuation multiples. Our bear case assumes shares trade at 14.0x on CY27 bear-case EPS of \$25.00.	

Risk Reward – Seagate Technology (STX.O)

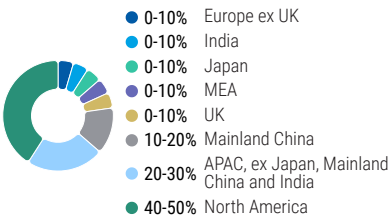
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Revenue Growth (Y/Y) (%)	38.9	32.4	45.1	31.5
HDD Exabyte Growth (Y/Y) (%)	49.5	32.0	28.4	16.0
Capacity Optimized Revenue Growth (Y/Y) (%)	57.4	0.0	0.0	0.0
Non-GAAP Gross Margin (%)	35.8	45.2	57.1	67.0
Non-GAAP Operating Margin (%)	23.4	35.4	50.2	61.4

INVESTMENT DRIVERS

- Positive EPS revisions as cycle strength persists and margins ramp to high-40%
- Stronger for longer cloud capex growth
- New CSP qualifications on HAMR platform
- Management accelerates buybacks

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
-------------	---------------------	-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Demand accelerates
- AI drives incremental HDD demand
- GM expands to high-50% range
- Smoother/stronger cloud cycles drive multiple expansion
- STX exhibits more pricing power
- HAMR drives share gains

RISKS TO DOWNSIDE

- Qualifications for high-capacity drives take longer than expected
- Steeper declines from cyclical markets
- GM doesn't further expand
- Pricing normalizes more than expected
- Geopolitical tensions & tariff costs

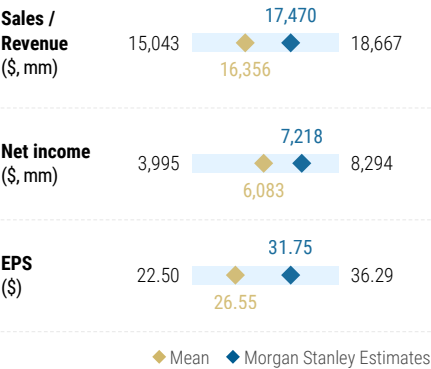
OWNERSHIP POSITIONING

Inst. Owners, % Active	52.9%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2027e



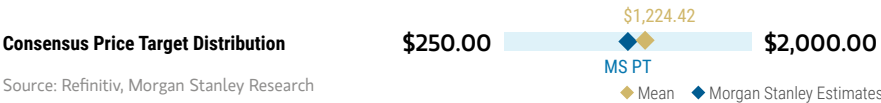
Source: Refinitiv, Morgan Stanley Research

Risk Reward – SanDisk Corporation. (SNDK.O)

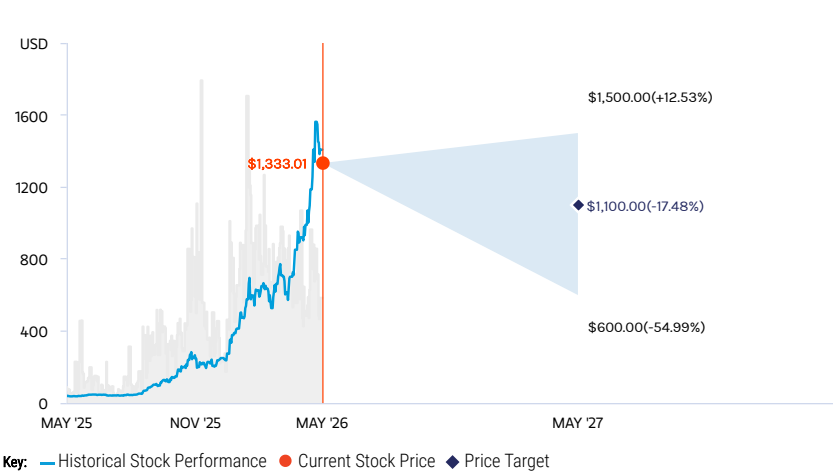
NAND improving quickly on the back of accelerating cloud demand

PRICE TARGET \$1,100.00

We assume 23x through-cycle EPS of \$48.00 (vs. our estimate of the trailing 9-year average of \$6.33). As improving industry dynamics as well as eSSD demand lead to higher levels of profitability than we have seen over the last few years, 23x is a discount to our through-cycle multiple target for MU (25x) as the lower AI exposure is offset by historically higher FCF conversion

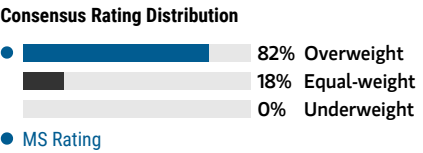


RISK REWARD CHART



OVERWEIGHT THESIS

AI demand is in the process of transforming the NAND market, and driving peak cycle EPS to multiples of what we have seen in the past. With still minimal new investment in capacity and evolving AI demand drivers we see a long runway for upward revisions.



Risk Reward Themes

New Data Era: Positive
Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$1,500.00

25x through-cycle EPS of \$60

Our bull case of \$1500 per share represents 25x a higher through-cycle EPS of \$60.00. Here future peak earnings look similar to the current environment, with AI demand supporting through cycle EPS about 40% of current cycle peak. As well as with more mild downturns, higher levels of profitability supporting a higher multiple.

BASE CASE \$1,100.00

23x through-cycle EPS of \$48.00

Improving industry dynamics as well as eSSD demand lead to higher levels of profitability than we have seen over the last few years, 23x is a discount to our through-cycle multiple target for MU (25x) as the lack of direct AI is offset by historically higher FCF conversion.

BEAR CASE \$600.00

20x through-cycle EPS of \$30.

We think Sandisk can avoid much of the pain of the last downturn (\$13 per share loss), and with a better upcycle, with the multiple towards the average of the semiconductor group.

Risk Reward – SanDisk Corporation. (SNDK.O)

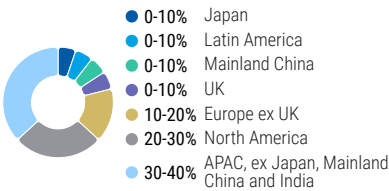
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
GAAP Revenue (\$, mm)	7,355	19,287	40,860	38,440
Non-GAAP Gross Margin (%)	30.3	68.9	84.1	82.4
Non-GAAP EPS (\$)	2.74	63.96	172.48	154.25
Inventory (\$, mm)	2,079	2,107	2,451	2,412
DOI	145.5	126.2	135.1	128.0

INVESTMENT DRIVERS

- Improved pricing and demand strength drive earnings growth
- Position in DC SSD market improves

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
-------------	---------------------	-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Quicker eSSD penetration in the datacenter
- Higher NAND content growth from edge AI applications
- Sandisk's investments in advanced memory technologies such as HBF (high Bandwidth Flash) pay dividends

RISKS TO DOWNSIDE

- NAND industry growth disappoints
- Capex growth returns as industry participants invest to gain share
- Sandisk loses market share as they fail to gain traction in datacenter
- China continues to gain share

OWNERSHIP POSITIONING

Inst. Owners, % Active	53.3%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2027e

EPS (\$)	107.42	172.48	203.19
		168.46	
Sales / Revenue (\$, mm)	34,262	40,860	50,313
		42,197	
EBIT (\$, mm)	25,577	31,947	39,611
		32,379	

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Qualcomm Inc. (QCOM.O)

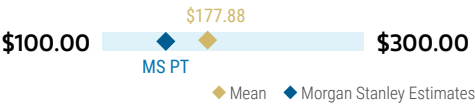
Key edge AI enabler, but wide range of outcomes with smartphone share and AI PC

PRICE TARGET \$146.00

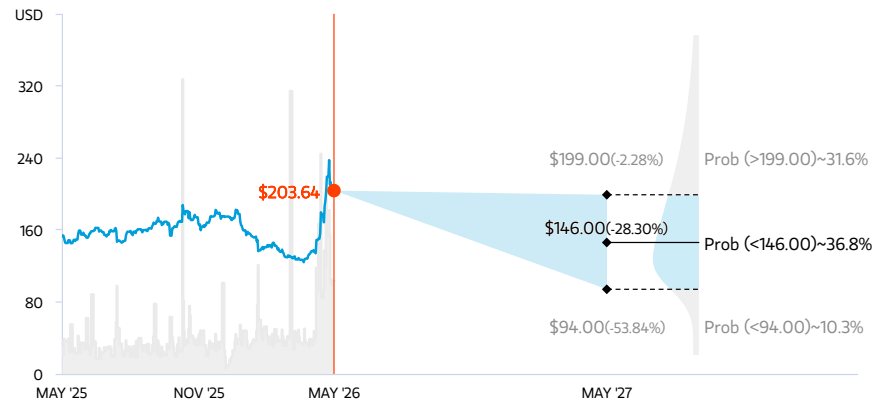
We use a 21x MW PE multiple on \$7.12 in CY2027 earnings (includes stock based compensation). This is roughly 14x Non-GAAP EPS of \$10.32. This is on the lower end of their historical range, but is appropriate for our expectations of a muted smartphone cycle.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



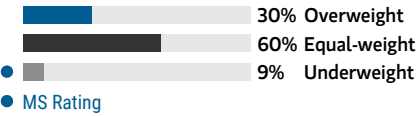
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

UNDERWEIGHT THESIS

- Handset volumes seem likely to be pressured by severe memory shortage, starting at the low end and becoming more pervasive as the year goes on
- Diversification into automotive has been very strong, but compute and data center initiatives will take time and investment to generate traction
- We see the stock in a holding pattern waiting for the diversification to play out, with modest downward pressure in the interim

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE	\$199.00	BASE CASE	\$146.00	BEAR CASE	\$94.00
25X Base Case CY26 MW EPS of \$7.97		21x CY27 MW EPS of \$7.12		20X Bear Case CY26 MW EPS of \$4.69	
Exposure to premium market shields QCOM from most of memory headwinds. Autos, IoT, and Data Center scale quickly to diversify away from the smartphone market.		We are expecting a muted smartphone cycle from memory constraints and valuing QCOM on the low-end of their PE range.		Memory constraints worse than expected, smartphone is pressured even at the high end. Diversification story fails to develop.	

Risk Reward – Qualcomm Inc. (QCOM.O)

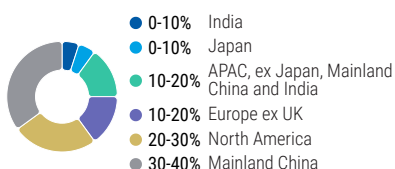
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
GAAP Revenue (\$, mm)	44,283	42,137	41,101	44,582
Non-GAAP Gross Margin (%)	55.9	55.3	55.5	55.1
Non-GAAP EPS (\$)	12.05	10.47	9.84	11.45
Inventory (\$, mm)	6,526	5,914	6,251	7,050
DOI (\$)	122.3	114.7	124.8	128.7

INVESTMENT DRIVERS

- Smartphone market growth and Qualcomm's share in chipsets
- Revenue diversification (automotive & IoT) beyond handsets

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
--------------------	---------------------	--------------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Memory constraints ease faster than expected
- Android market is more resilient
- Apple transition is slow
- Non-handset business scales faster than expected

RISKS TO DOWNSIDE

- Smartphone memory headwinds worse than expected
- Apple internal silicon timeline brought forward
- Share loss to competitors
- Diversification story fails to develop

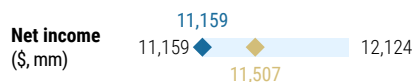
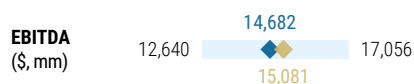
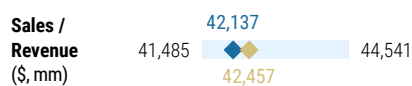
OWNERSHIP POSITIONING

Inst. Owners, % Active	44.4%				
HF Sector Long/Short Ratio	2x				
HF Sector Net Exposure	25.3%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Sep 2026e



◆ Mean ◆ Morgan Stanley Estimates

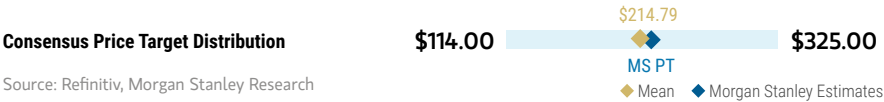
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Palo Alto Networks Inc (PANW.O)

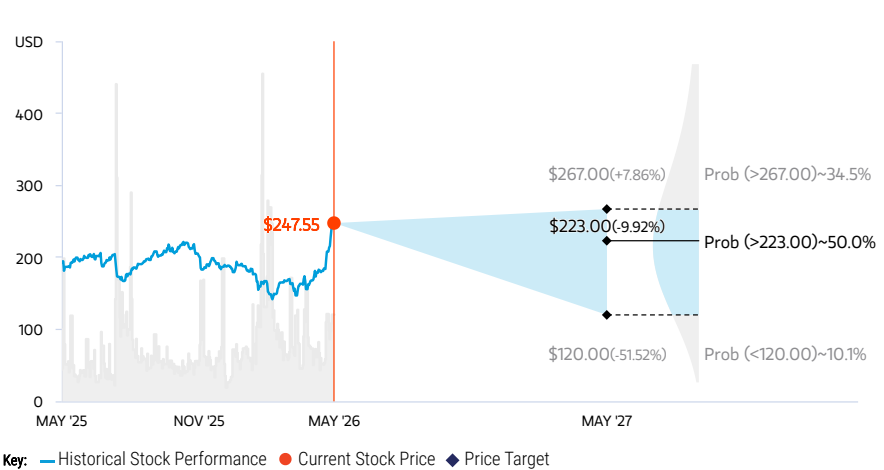
Risk Reward for Palo Alto Networks Inc (PANW.O) has been updated

PRICE TARGET \$223.00

Based on 32x Base Case 2027e FCF per share of \$6.31; this multiple is relatively inline with similarly growing large cap software peers.



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

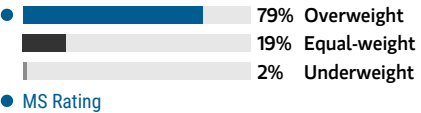


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- Palo Alto Networks offers a disruptive platform, well positioned to address the evolving threat landscape and consolidate a fragmented security market. We believe Palo Alto Networks will continue to differentiate itself from its peers as it proves out a broader TAM around a Next-Gen Security Platform (and executing to that opportunity).
- With strong secular positioning and the drive towards higher operating margins, we remain confident in the company's ability to sustain durable FCF growth over the next 3 years.

Consensus Rating Distribution



Risk Reward Themes

Secular Growth: *Positive*
View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$267.00	BASE CASE	\$223.00	BEAR CASE	\$120.00
35x Bull Case 2027e FCF per share of \$7.05		32x Base Case 2027e FCF per share of \$6.31		17x Bear Case 2027e FCF per share of \$6.01	
Consolidating the Broader Security Market. Total revenue grows at a 22% CAGR over the next 2 years and reaches ~\$15.2B by CY27 on stronger Next-Gen Security sales and firewall refresh. Operating margins move to ~32% by CY27 with FCF margin of ~39.5%. PANW trades at a 35x EV/FCF multiple in CY27.		Sustaining Above Market Growth. PANW sustains mid-teens topline CAGR, with revenue reaching ~\$14.0B by CY27. Operating margins improve to ~31% by CY27 through higher gross margin and S&M leverage and FCF margin is ~38.5% in CY27. PANW sustains 32x EV/FCF in CY27, a multiple relatively inline with similarly growing large cap software peers.		Slowing Growth. Prolonged macro slowdown and slower firewall demand persists, while new product traction stalls. Total revenue growth slows with limited operating leverage and duration headwinds driving FCF margin down. PANW trades at 17x EV/FCF on CY27.	

Risk Reward – Palo Alto Networks Inc (PANW.O)

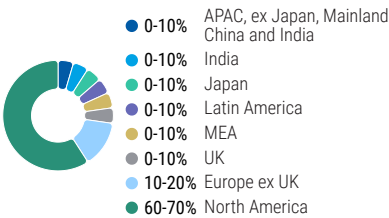
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Product & Licensing Revenue YoY Growth (%)	12.4	21.5	8.0	6.0
Total Billings YoY Growth (%)	2.8	12.1	10.2	7.0
Non Firewall Billings YoY Growth (%)	23.2	41.0	25.0	14.7
Free Cash Flow Margin (%)	37.6	37.0	37.0	20.6

INVESTMENT DRIVERS

- Firewall refresh picks up in 2025/26
- New product introductions and greater subscription attach
- Faster adoption of next-gen security offerings (Prisma Cloud, Prisma SASE, Cortex)

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
-------------	---------------------	-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger firewall refresh cycle and higher subscription attach rates
- Faster uptake of new Cloud-based Next-Gen Security solutions such as Cortex (AI-Powered Security Analytics) and Prisma SASE

RISKS TO DOWNSIDE

- Slowing firewall refreshes could drive a greater than expected impact to PANW's top line growth
- An increasingly competitive environment could necessitate additional S&M spending, limiting margin leverage.

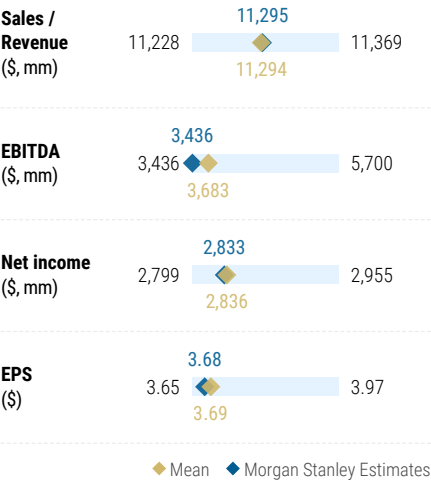
OWNERSHIP POSITIONING

Inst. Owners, % Active	50%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jul 2026e



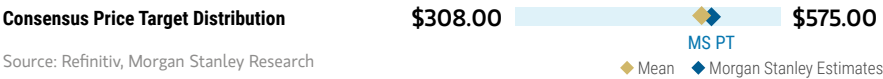
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Applied Materials Inc. (AMAT.O)

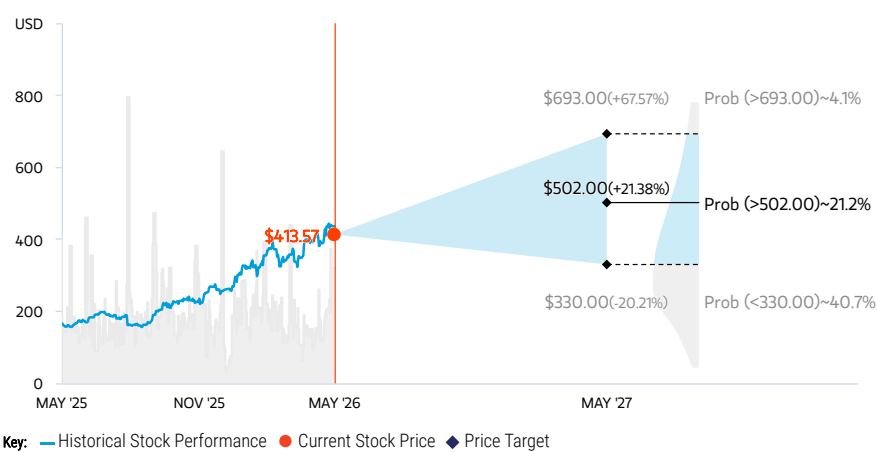
DRAM/Leading Logic upside & China/ICAPS derisked

PRICE TARGET \$502.00

~28x CY27e EPS of \$17.94, a 6-turn discount to LAM and 5-turns to KLA to reflect growth prospects in DRAM but concerns around market share loss in China.



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



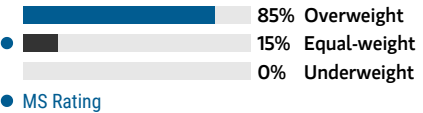
Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

■ AMAT has traded at a material valuation discount vs LAM & KLA given execution and concerns around market share loss in China. We think AMAT will be a share gainer in 2026 but given our growth forecast is in-line with broader WFE in 2027 we think the valuation discount is unlikely to narrow in the near term.

■ AMAT has the highest DRAM mix in their portfolio (CY26 31% vs LAM 23%, KLA 28%) and is most levered to greenfield wafer additions. We see DRAM as the fastest growing end-market in 2026 but the slowest growing in 2027.

Consensus Rating Distribution



Risk Reward Themes

New Data Era: Positive
View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$693.00	BASE CASE	\$502.00	BEAR CASE	\$330.00
~33x CY27 EPS of \$20.37		~28x CY27 EPS of \$17.94		~21x CY27 EPS of \$15.72	
DRAM & ICAPS remain strong and AMAT's margin expansion accelerates.		AMAT grows in-line with WFE with DRAM growth slightly offset by China/ICAPS		DRAM WFE remains weak in 2026 and leading edge logic sees headwinds from foundries scaling back their aspirations.	
- Revenue grows 36.9% in CY27 as AMAT outperforms WFE		- Revenue growth of 24.5% in CY27		- Revenue increases 14.5% in CY27 as WFE recovery is subdued.	
- Gross margin expands to 51.3% in CY27		- Non-GAAP gross margin slightly increases to 50.8% in CY27		- Gross margin slightly increases to 50.1% in CY27	
- Multiples expand to 33x PE, as equipment is perceived as a growth sector within semis		- Multiple at a premium to AMAT's historical average		- Multiple contracts to a 21x PE, 1 standard deviation premium to historical levels	

Risk Reward – Applied Materials Inc. (AMAT.O)

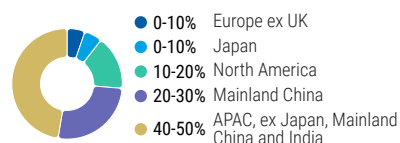
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
GAAP Revenue (\$, mm)	28,368	33,483	43,373	48,812
MW Gross Margin (%)	48.8	50.0	50.8	50.8
Non-GAAP EPS (\$)	9.42	12.31	17.02	19.71
Inventory (\$, mm)	5,915	7,580	9,137	9,786
DOI	146.2	162.8	154.0	146.5

INVESTMENT DRIVERS

- DRAM WFE outpaces overall WFE growth
- AMAT capitalizes on logic growth opportunities (GAA, back-side power)

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Market share gains as DRAM outpaces WFE
- AMAT captures market share in logic architecture inflections (backside power)

RISKS TO DOWNSIDE

- Widespread restrictions on equipment shipments and services to China
- AMAT loses market share with key customers (Samsung, TSMC)

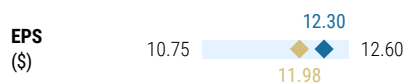
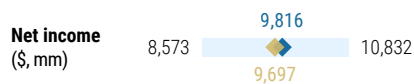
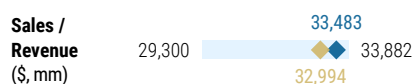
OWNERSHIP POSITIONING

Inst. Owners, % Active	51.7%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Oct 2026e



◆ Mean ◆ Morgan Stanley Estimates

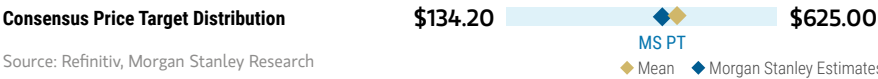
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Advanced Micro Devices (AMD.O)

Like AMD's position in server, but high AI expectations limit room for upside

PRICE TARGET \$410.00

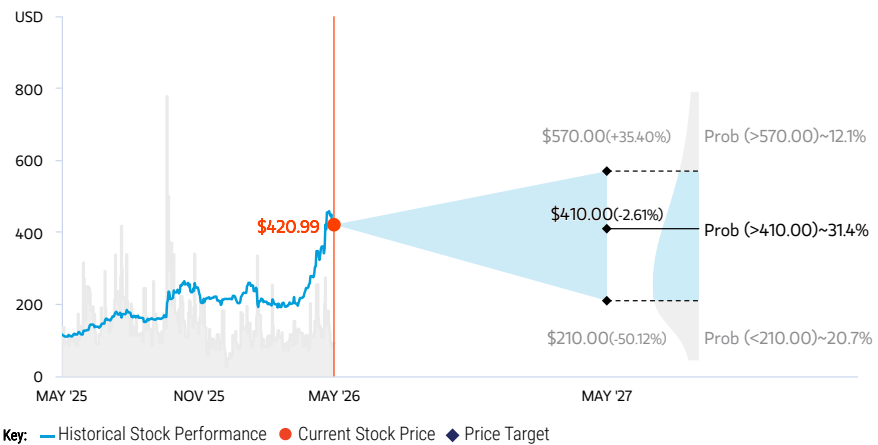
Our \$360 PT for AMD equals ~37x base case FY2027e MWEPS of \$11.10, reflecting further share gains at the expense of Intel, and 77% y/y growth in datacenter (~100% in AI)



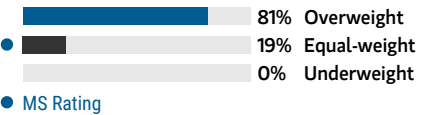
EQUAL-WEIGHT THESIS

We see continued share gains in notebook and server processors in 2026 and 2027 as AMD continues to execute on its product roadmap. AMD's AI story should gain momentum later this year with MI450 products, but performance leadership will be key. An area where AMD will need to prove they can deliver competitive ROI vs incumbents

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Consensus Rating Distribution



Risk Reward Themes

New Data Era: Positive
Secular Growth: Positive
View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$570.00	BASE CASE	\$410.00	BEAR CASE	\$210.00
~40x bull case FY2027e MW EPS of \$14.27		~37x base case FY2027e MW EPS of \$11.10		~20x bear case FY2027e MW EPS of \$9.45	
Bull case assumes further execution for AMD. In computing and graphics, AMD continues to gain material market share, while both CPU and GPU markets remain healthier than forecasted. AMD solidifies a #2 position in the datacenter GPU market		Further share gains for AMD in server compute and notebook continue to drive growth, further supported by a strengthening AI GPU story		AMD loses momentum in AI, and Intel shows signs it's beginning to regain its footing in server. The multiple compresses as they are unable to drive meaningful revenues in AI markets beyond one or two customers	

Risk Reward – Advanced Micro Devices (AMD.O)

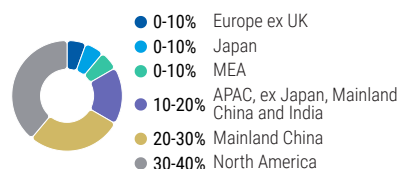
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
GAAP Revenue (\$, mm)	34,639	48,807	68,227	89,972
Non-GAAP Gross Margin (%)	52.4	55.2	56.9	57.2
Non-GAAP EPS (\$)	4.23	7.22	12.12	16.79
Inventory (\$, mm)	7,920	13,518	15,775	18,263
DOI	165.3	215.2	189.1	170.2

INVESTMENT DRIVERS

- AMD continues to execute to its product roadmaps, enabling it to gain share on a smaller R&D budget than INTC
- AI ecosystem adoption takes time, and we see AMD's early success as more of a testament to the strength of the overall market thus far

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Datacenter GPU outperforms expectations, closing the gap with Nvidia
- PC and server share gain accelerates; Intel's competitive response is less impressive than expected
- Server refresh drives datacenter revenue above expectations

RISKS TO DOWNSIDE

- Intel's server CPUs in 2027 stifle AMD's momentum and allow it to regain share
- AMD loses graphics share to NVIDIA
- Datacenter GPU underperforms expectations

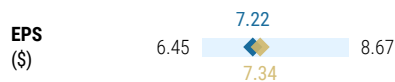
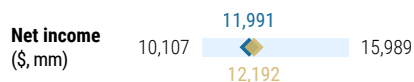
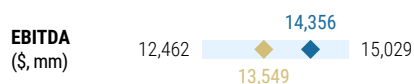
OWNERSHIP POSITIONING

Inst. Owners, % Active	44.4%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	25.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Morgan Stanley is acting as financial advisor to Wiz, Inc. ("Wiz") in connection with its definitive agreement to be acquired by Google LLC, as announced on March 18, 2025. The proposed transaction is subject to customary closing conditions including regulatory approvals. Wiz has agreed to pay fees to Morgan Stanley for its financial services, including fees that are contingent upon the consummation of the transaction. Please refer to the notes at the end of this report.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Meta A Marshall; Joseph Moore; Brian Nowak, CFA; Keith Weiss, CFA; Erik W Woodring.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

The analyst or strategist (or a household member) identified below owns the following securities (or related derivatives): Meta A Marshall - Adobe Inc.(common or preferred stock), Advanced Micro Devices(common or preferred stock), Alphabet Inc.(common or preferred stock), Amazon.com Inc(common or preferred stock), Apple, Inc.(common or preferred stock), Broadcom Inc.(common or preferred stock), Corning Inc(common or preferred stock), Intuit(common or preferred stock), Meta Platforms Inc(common or preferred stock), Microsoft(common or preferred stock), NVIDIA Corp.(common or preferred stock), Oracle Corporation(common or preferred stock), Palo Alto Networks Inc(common or preferred stock); Brian Nowak, CFA - Advanced Micro Devices(common or preferred stock), Micron Technology Inc.(common or preferred stock), NVIDIA Corp.(common or preferred stock), ON Semiconductor Corp.(common or preferred stock); Keith Weiss, CFA - IBM(common or preferred stock), Resideo Technologies Inc(common or preferred stock), Uber Technologies Inc(common or preferred stock), Wolfspeed, INC(common or preferred stock); Erik W Woodring - Alphabet Inc.(common or preferred stock), Amazon.com Inc(common or preferred stock), NVIDIA Corp.(common or preferred stock).

As of April 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Adobe Inc., Advanced Micro Devices, Aeva Technologies Inc, Airbnb Inc, Akamai Technologies, Inc., Allegro Microsystems Inc, Alphabet Inc., Amazon.com Inc, Ambarella Inc, Amplitude Inc., Analog Devices Inc., Appian Corp, Apple, Inc., Applied Materials Inc., AppLovin Corp, Arista Networks, Arm Holdings plc, Asana Inc, Astera Labs Inc, Atlassian Corporation PLC, Autodesk, Axon Enterprise Inc, BILL Holdings Inc, Blackline Inc, Booking Holdings Inc, Box Inc, Broadcom Inc., C3.ai, Cadence Design Systems Inc, CCC Intelligent Solutions Holdings Inc, CDW Corporation, Check Point Software Technologies Ltd., Chewy Inc, Ciena Corporation, Cisco Systems Inc, Cloudflare Inc, Coherent Corp, CoreWeave, Corning Inc, Coursera, Inc., Cricut Inc, Criteo SA, CrowdStrike Holdings Inc, Datadog, Inc., Dell Technologies Inc., Descartes Systems Group Inc, DigitalOcean Holdings Inc, DocuSign Inc, DoorDash Inc, DoubleVerify Holdings Inc, Duolingo Inc, eBay Inc, Elastic NV, Electronic Arts Inc, Etsy Inc, Everpure, Inc., Expedia Inc., F5 Inc, Figma Inc, FIGS, Inc., Five9 Inc, Fortinet Inc., Freshworks Inc, Garmin Ltd, Gen Digital Inc., GitLab Inc, GoDaddy Inc, Hewlett Packard Enterprise, HP Inc., HubSpot, Inc., IBM, Instacart, Intel Corporation, Intuit, IonQ Inc, Keysight Technologies Inc, KLA Corp, Klaviyo, Inc, Kornit Digital Ltd., Lam Research Corp, LegalZoom.com Inc, Lightspeed POS Inc, Liveramp Holdings Inc, Logitech International SA, Lumentum Holdings Inc, Lyft Inc, Manhattan Associates Inc., Marvell Technology Group Ltd, Match Group Inc, Meta Platforms Inc, Microchip Technology Inc., Micron Technology Inc., Microsoft, monday.com Ltd, MongoDB Inc, Motorola Solutions Inc, Nebius Group NV, NetApp Inc, NICE Ltd., NVIDIA Corp., NXP Semiconductor NV, Okta, Inc., ON Semiconductor Corp., Opendoor Technologies Inc, Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Peloton Interactive, Inc., Pinterest Inc, Qualcomm Inc., Qualys Inc, Rapid7 Inc, Reddit Inc, Resideo Technologies Inc, Revolve Group Inc, RingCentral Inc, Roblox Corporation, Sabre Corp, Salesforce, Inc., Samsara Inc, SanDisk Corporation., Seagate Technology, Semtech Corp., SentinelOne, Inc., ServiceNow Inc, Shopify Inc, Shutterstock Inc, Silicon Laboratories Inc, Skyworks Solutions Inc, SmartRent, Inc., Snap Inc., Snowflake Inc., Sonos Inc, Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Synopsys Inc., Take-Two Interactive Software, Tenable Holdings Inc, Teradata, Teradyne Inc, Tesla Inc, Texas Instruments, Toast, Inc., Trade Desk Inc, Twilio Inc, Uber Technologies Inc, UiPath Inc, Unity Software Inc, Varonis Systems, Inc., Vertex Inc., Western Digital, Wix.Com Ltd, Wolfspeed, INC, Workday Inc, Yelp Inc, Zebra Technologies Corporation, Zeta Global Holdings Corp, Zillow Group Inc, ZoomInfo Technologies Inc, Zscaler Inc.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Airbnb Inc, Akamai Technologies, Inc., Alphabet Inc., Amazon.com Inc, Analog Devices Inc., Autodesk, Broadcom Inc., Camtek, Check Point Software Technologies Ltd., Cloudflare Inc, Compass, Inc., CoreWeave, Dell Technologies Inc., DigitalOcean Holdings Inc, DoorDash Inc, eBay Inc, Figma Inc, GlobalFoundries Inc, Ingram Micro, Intel Corporation, Klaviyo, Inc, Lumentum Holdings Inc, Match Group Inc, Meta Platforms Inc, MKS Inc., MNTN Inc, Navan Inc, Nebius Group NV, Netskope, Inc., Nova Ltd, NXP Semiconductor NV, ON Semiconductor Corp., Palo Alto Networks Inc, Qualcomm Inc., Sabre Corp, Salesforce, Inc., Seagate Technology, Semtech Corp., Texas Instruments, Uber Technologies Inc, Via Transportation Inc, Wix.Com Ltd.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Advanced Micro Devices, Aeva Technologies Inc, Airbnb Inc, Allegro Microsystems Inc, Alphabet Inc., Amazon.com Inc, Amkor Technology Inc, Analog Devices Inc., Applied Materials Inc., Autodesk, Blackline Inc, Broadcom Inc., Camtek, CCC Intelligent Solutions Holdings Inc, CDW Corporation, Check Point Software Technologies Ltd., Cloudflare Inc, Coherent Corp, CoreWeave, Corning Inc, Dell Technologies Inc., DigitalOcean Holdings Inc, DocuSign Inc, DoorDash Inc, eBay Inc, Figma Inc, HubSpot, Inc., Instacart, Intel Corporation, Intuit, IonQ Inc, Lumentum Holdings Inc, Match Group Inc, Meta Platforms Inc, Micron Technology Inc., Microsoft, MKS Inc., MNTN Inc, Navan Inc, Nebius Group NV, Netskope, Inc., NICE Ltd, Nova Ltd, NXP Semiconductor NV, ON Semiconductor Corp., Palo Alto Networks Inc, Qualcomm Inc., Reddit Inc, RingCentral Inc, Sabre Corp, SailPoint Inc, Salesforce, Inc., Seagate Technology, Semtech Corp., ServiceNow Inc, Texas Instruments, Uber Technologies Inc, Via Transportation Inc, Wix.Com Ltd, Workday Inc, Zebra Technologies Corporation, Zeta Global Holdings Corp.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Adobe Inc., Advanced Micro Devices, Aeva Technologies Inc, Airbnb Inc, Akamai Technologies, Inc., Allegro Microsystems Inc, Alphabet Inc., Amazon.com Inc, Ambarella Inc, Amkor Technology Inc, Amplitude Inc., Analog Devices Inc., Appian Corp, Apple, Inc., Applied Materials Inc., AppLovin Corp, Arista Networks, Arm Holdings plc, Asana Inc, Astera Labs Inc, Atlassian Corporation PLC, Autodesk, Axon Enterprise Inc, BILL Holdings Inc, Blackline Inc, Booking Holdings Inc, Box Inc, Broadcom Inc., Bumble Inc., C3.ai, Cadence Design Systems Inc, Camtek, CCC Intelligent Solutions Holdings Inc, CDW Corporation, Check Point Software Technologies Ltd., Chewy Inc, Ciena Corporation, Cisco Systems Inc, Cloudflare Inc, Coherent Corp, Commerce.com Inc., CoreWeave, Corning Inc, Coursera, Inc., Criteo SA, CrowdStrike Holdings

Inc, Datadog, Inc., Dell Technologies Inc., Descartes Systems Group Inc, DigitalOcean Holdings Inc, Docebo Inc., DocuSign Inc, DoorDash Inc, DoubleVerify Holdings Inc, Duolingo Inc, eBay Inc, Elastic NV, Electronic Arts Inc, Etsy Inc, Everpure, Inc., Expedia Inc., F5 Inc, Figma Inc, FIGS, Inc., Five9 Inc, Fortinet Inc., Freshworks Inc, Garmin Ltd, Gen Digital Inc., GitLab Inc, GlobalFoundries Inc, GoDaddy Inc, GoPro Inc, Hewlett Packard Enterprise, HP Inc., HubSpot, Inc., IBM, Ingram Micro, Instacart, Intel Corporation, Intuit, IonQ Inc, JFrog Ltd., Keysight Technologies Inc, KLA Corp, Klaviyo, Inc, Kornit Digital Ltd., Lam Research Corp, LegalZoom.com Inc, Lightspeed POS Inc., Liveramp Holdings Inc, Logitech International SA, Lumentum Holdings Inc, Lyft Inc, Marvell Technology Group Ltd, Match Group Inc, Meta Platforms Inc, Microchip Technology Inc., Micron Technology Inc., Microsoft, MKS Inc., MNTN Inc, monday.com Ltd, MongoDB Inc, Motorola Solutions Inc, Navan Inc, Navitas Semiconductor Corp, Nebius Group NV, NetApp Inc, Netskope, Inc., NICE Ltd., Nova Ltd, Nutanix Inc, NVIDIA Corp., NXP Semiconductor NV, Okta, Inc., ON Semiconductor Corp., Opendoor Technologies Inc, Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Peloton Interactive, Inc., Pinterest Inc, Playtika Holding Corp, Qualcomm Inc., Qualys Inc, Rapid7 Inc, Reddit Inc, Resideo Technologies Inc, Revolve Group Inc, RingCentral Inc, Roblox Corporation, Sabre Corp, SailPoint Inc, Salesforce, Inc., Samsara Inc, SanDisk Corporation., Seagate Technology, Semtech Corp., SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Shutterstock Inc, Silicon Laboratories Inc., Skyworks Solutions Inc, SmartRent, Inc., Snap Inc., Snowflake Inc., Sonos Inc., Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Synopsys Inc., Take-Two Interactive Software, Tenable Holdings Inc, Teradata, Teradyne Inc, Tesla Inc, Texas Instruments, Toast, Inc., Trade Desk Inc, Twilio Inc, Uber Technologies Inc, UiPath Inc, Unity Software Inc, Varonis Systems, Inc., Vertex Inc., Via Transportation Inc, Webtoon Entertainment Inc, Western Digital, Wix.Com Ltd, Wolfspeed, INC, Workday Inc, Yelp Inc, Zebra Technologies Corporation, Zeta Global Holdings Corp, Zillow Group Inc, Zoom Communications, Zscaler Inc.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Adobe Inc., Advanced Micro Devices, Airbnb Inc, Alphabet Inc., Amazon.com Inc, Ambarella Inc, Amkor Technology Inc, Amplitude Inc., Analog Devices Inc., Apple, Inc., Applied Materials Inc., Asana Inc, Atlassian Corporation PLC, Autodesk, Blackline Inc, Booking Holdings Inc, Box Inc, Broadcom Inc., Cadence Design Systems Inc, CCC Intelligent Solutions Holdings Inc, CDW Corporation, Check Point Software Technologies Ltd., Cisco Systems Inc, Cloudflare Inc, Coherent Corp, CoreWeave, Corning Inc, CrowdStrike Holdings Inc, Dell Technologies Inc, DocuSign Inc, DoorDash Inc, eBay Inc, Electronic Arts Inc, Expedia Inc., Freshworks Inc, Garmin Ltd, Gen Digital Inc., GitLab Inc, GlobalFoundries Inc, Hewlett Packard Enterprise, HP Inc., HubSpot, Inc., IBM, Ingram Micro, Intel Corporation, Intuit, JFrog Ltd., Klaviyo, Inc, Marvell Technology Group Ltd, Match Group Inc, Meta Platforms Inc, Microchip Technology Inc., Micron Technology Inc., Microsoft, monday.com Ltd, MongoDB Inc, Motorola Solutions Inc, NetApp Inc, NICE Ltd., NVIDIA Corp., NXP Semiconductor NV, ON Semiconductor Corp., Oracle Corporation, Palo Alto Networks Inc, Pinterest Inc, Qualcomm Inc., Reddit Inc, Revolve Group Inc, RingCentral Inc, Sabre Corp, Salesforce, Inc., Seagate Technology, SentinelOne, Inc., ServiceNow Inc, Silicon Laboratories Inc., Snowflake Inc., Synopsys Inc., Take-Two Interactive Software, Tesla Inc, Texas Instruments, Toast, Inc., Uber Technologies Inc, UiPath Inc, Varonis Systems, Inc., Workday Inc, WW International Inc, Zebra Technologies Corporation, Zillow Group Inc, Zoom Communications, Zscaler Inc.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Adobe Inc., Advanced Micro Devices, Aeva Technologies Inc, Airbnb Inc, Akamai Technologies, Inc., Allegro Microsystems Inc, Alphabet Inc., Amazon.com Inc, Ambarella Inc, Amkor Technology Inc, Amplitude Inc., Analog Devices Inc., Appian Corp, Apple, Inc., Applied Materials Inc., AppLovin Corp, Arista Networks, Arm Holdings plc, Asana Inc, Astera Labs Inc, Atlassian Corporation PLC, Autodesk, Axon Enterprise Inc, BILL Holdings Inc, Blackline Inc, Booking Holdings Inc, Box Inc, Broadcom Inc., Bumble Inc., C3.ai, Cadence Design Systems Inc, Camtek, CCC Intelligent Solutions Holdings Inc, CDW Corporation, Check Point Software Technologies Ltd., Chewy Inc, Ciena Corporation, Cisco Systems Inc, Cloudflare Inc, Coherent Corp, Commerce.com Inc., Compass, Inc., CoreWeave, Corning Inc, Coursera, Inc., Criteo SA, CrowdStrike Holdings Inc, Datadog, Inc., Dell Technologies Inc., Descartes Systems Group Inc, DigitalOcean Holdings Inc, Docebo Inc., DocuSign Inc, DoorDash Inc, DoubleVerify Holdings Inc, Duolingo Inc, eBay Inc, Elastic NV, Electronic Arts Inc, Etsy Inc, Everpure, Inc., Expedia Inc., F5 Inc, Figma Inc, FIGS, Inc., Five9 Inc, Fortinet Inc., Freshworks Inc, Garmin Ltd, Gen Digital Inc., GitLab Inc, GlobalFoundries Inc, GoDaddy Inc, GoPro Inc, Hewlett Packard Enterprise, HP Inc., HubSpot, Inc., IBM, Ingram Micro, Instacart, Intel Corporation, Intuit, IonQ Inc, JFrog Ltd., Keysight Technologies Inc, KLA Corp, Klaviyo, Inc, Kornit Digital Ltd., Lam Research Corp, LegalZoom.com Inc, Lightspeed POS Inc., Liveramp Holdings Inc, Logitech International SA, Lumentum Holdings Inc, Lyft Inc, Marvell Technology Group Ltd, Match Group Inc, Meta Platforms Inc, Microchip Technology Inc., Micron Technology Inc., Microsoft, MKS Inc., MNTN Inc, monday.com Ltd, MongoDB Inc, Motorola Solutions Inc, Navan Inc, Navitas Semiconductor Corp, Nebius Group NV, NetApp Inc, Netskope, Inc., NICE Ltd., Nova Ltd, Nutanix Inc, NVIDIA Corp., NXP Semiconductor NV, Okta, Inc., ON Semiconductor Corp., Opendoor Technologies Inc, Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Peloton Interactive, Inc., Pinterest Inc, Playtika Holding Corp, Qualcomm Inc., Qualys Inc, Rapid7 Inc, Reddit Inc, Resideo Technologies Inc, Revolve Group Inc, RingCentral Inc, Roblox Corporation, Sabre Corp, SailPoint Inc, Salesforce, Inc., Samsara Inc, SanDisk Corporation., Seagate Technology, Semtech Corp., SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Shutterstock Inc, Silicon Laboratories Inc., Skyworks Solutions Inc, SmartRent, Inc., Snap Inc., Snowflake Inc., Sonos Inc., Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Synopsys Inc., Take-Two Interactive Software, Tenable Holdings Inc, Teradata, Teradyne Inc, Tesla Inc, Texas Instruments, Toast, Inc., Trade Desk Inc, Twilio Inc, Uber Technologies Inc, UiPath Inc, Unity Software Inc, Varonis Systems, Inc., Vertex Inc., Via Transportation Inc, Webtoon Entertainment Inc, Western Digital, Wix.Com Ltd, Wolfspeed, INC, Workday Inc, Yelp Inc, Zebra Technologies Corporation, Zeta Global Holdings Corp, Zillow Group Inc, Zoom Communications, Zscaler Inc.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Adobe Inc., Advanced Micro Devices, Airbnb Inc, Akamai Technologies, Inc., Alphabet Inc., Amazon.com Inc, Ambarella Inc, Amkor Technology Inc, Amplitude Inc., Analog Devices Inc., Apple, Inc., Applied Materials Inc., AppLovin Corp, Asana Inc, Atlassian Corporation PLC, Autodesk, Axon Enterprise Inc, Blackline Inc, Booking Holdings Inc, Box Inc, Broadcom Inc., Cadence Design Systems Inc, CCC Intelligent Solutions Holdings Inc, CDW Corporation, Check Point Software Technologies Ltd., Cisco Systems Inc, Cloudflare Inc, Coherent Corp, Commerce.com Inc., CoreWeave, Corning Inc, CrowdStrike Holdings Inc, Datadog, Inc., Dell Technologies Inc., DocuSign Inc, DoorDash Inc, eBay Inc, Electronic Arts Inc, Etsy Inc, Everpure, Inc., Expedia Inc., Five9 Inc, Fortinet Inc., Freshworks Inc, Garmin Ltd, Gen Digital Inc., GitLab Inc, GlobalFoundries Inc, GoDaddy Inc, Hewlett Packard Enterprise, HP Inc., HubSpot, Inc., IBM, Ingram Micro, Intel Corporation, Intuit, IonQ Inc, JFrog Ltd., Klaviyo, Inc, Lyft Inc, Marvell Technology Group Ltd, Match Group Inc, Meta Platforms Inc, Microchip Technology Inc., Micron Technology Inc., Microsoft, MKS Inc., monday.com Ltd, MongoDB Inc, Motorola Solutions Inc, Nebius Group NV, NetApp Inc, NICE Ltd., Nutanix Inc, NVIDIA Corp., NXP Semiconductor NV, ON Semiconductor Corp., Opendoor Technologies Inc, Oracle Corporation, PagerDuty, Inc., Palo Alto Networks Inc, Pinterest Inc, Playtika Holding Corp, Qualcomm Inc., Qualys Inc, Reddit Inc, Resideo Technologies Inc, Revolve Group Inc, RingCentral Inc, Sabre Corp, Salesforce, Inc., Seagate Technology, Semtech Corp., SentinelOne, Inc., ServiceNow Inc, Shopify Inc, Silicon Laboratories Inc., Snap Inc., Snowflake Inc., Sonos Inc., Synopsys Inc., Take-Two Interactive Software, Tesla Inc, Texas Instruments, Toast, Inc., Twilio Inc, Uber Technologies Inc, UiPath Inc, Varonis Systems, Inc., Wix.Com Ltd, Wolfspeed, INC, Workday Inc, WW International Inc, Zebra Technologies Corporation, Zillow Group Inc, Zoom Communications, Zscaler Inc.

An employee, director or consultant of Morgan Stanley is a director of eBay Inc, Elastic NV, HP Inc., Tenable Holdings Inc. This person is not a research analyst or a member of a research analyst's household.

Morgan Stanley & Co. LLC makes a market in the securities of Aeva Technologies Inc, Ambarella Inc, Amplitude Inc., Appian Corp, Asana Inc, Autodesk, Blackline Inc, Box Inc, Bumble Inc., Check Point Software Technologies Ltd., Ciena Corporation, Coursera, Inc., Criteo SA, Docebo Inc., DoubleVerify Holdings Inc, Expedia Inc., F5 Inc, FIGS, Inc., Five9 Inc, Freshworks Inc, Garmin Ltd, Grindr Inc., HubSpot, Inc., Keysight Technologies Inc, LegalZoom.com Inc, Liveramp Holdings Inc, Manhattan Associates Inc., MKS Inc., monday.com Ltd, PagerDuty, Inc., Playtika Holding Corp, Qualys Inc, Rapid7 Inc, Resideo Technologies Inc, Revolve Group Inc, RingCentral Inc, Sabre Corp, Shutterstock Inc, Silicon Laboratories Inc., Sonos Inc., Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, TD Synnex Corporation, Tenable Holdings Inc, Teradata, Twilio Inc, Varonis Systems, Inc., Vertex Inc., Webtoon Entertainment Inc, Yelp Inc, Zillow Group Inc, ZoomInfo Technologies Inc. The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality

of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of April 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

A member of Research who had or could have had access to the research prior to completion owns securities (or related derivatives) in the Apple, Inc., Atlassian Corporation PLC, Cisco Systems Inc, Micron Technology Inc., Microsoft, NVIDIA Corp., Uber Technologies Inc, Western Digital, Workday Inc. This person is not a research analyst or a member of research analyst's household. Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research. Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão

de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH0000010105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM0000101203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products. Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: IT Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/18/2026)
Erik W Woodring		
Apple, Inc. (AAPL.O)	O (05/26/2009)	\$297.84
CDW Corporation (CDW.O)	E (01/20/2026)	\$104.04
Cricut Inc (CRCT.O)	U (08/12/2021)	\$3.92
Dell Technologies Inc. (DELL.N)	U (11/16/2025)	\$238.03
Everpure, Inc. (P.N)	E (06/11/2024)	\$77.07
Garmin Ltd (GRMN.N)	E (02/18/2026)	\$226.89
GoPro Inc (GPRO.O)	U (12/12/2023)	\$1.07

Hewlett Packard Enterprise (HPE.N)	E (11/16/2025)	\$33.00
HP Inc. (HPQ.N)	U (11/16/2025)	\$20.92
IBM (IBM.N)	E (01/18/2023)	\$222.75
Ingram Micro (INGM.N)	E (06/11/2025)	\$25.72
Kornit Digital Ltd. (KRNT.O)	E (11/06/2025)	\$14.59
Logitech International SA (LOGI.O)	U (01/20/2026)	\$105.21
NetApp Inc (NTAP.O)	U (01/20/2026)	\$120.60
Resideo Technologies Inc (REZI.N)	O (08/11/2025)	\$28.25
Seagate Technology (STX.O)	O (03/26/2024)	\$740.84
SmartRent, Inc. (SMRT.N)	++	\$1.14
Sonos Inc. (SONO.O)	E (11/06/2025)	\$14.76
TD Synnex Corporation (SNX.N)	O (06/11/2025)	\$227.88
Teradata (TDC.N)	O (04/08/2025)	\$32.77
Western Digital (WDC.O)	O (04/16/2025)	\$458.68
Sanjit K Singh		
Nutanix Inc (NTNX.O)	E (01/12/2026)	\$47.45

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Telecom & Networking Equipment

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/18/2026)
Meta A Marshall		
Arista Networks (ANET.N)	O (10/31/2023)	\$141.71
Axon Enterprise Inc (AXON.O)	O (12/03/2024)	\$399.37
Ciena Corporation (CIEN.N)	E (10/10/2025)	\$524.53
Cisco Systems Inc (CSCO.O)	O (04/08/2024)	\$118.88
Coherent Corp (COHR.N)	E (12/13/2023)	\$362.83
Corning Inc (GLW.N)	E (06/13/2024)	\$178.55
F5 Inc (FFIV.O)	E (04/12/2022)	\$379.74
Keysight Technologies Inc (KEYS.N)	E (10/10/2025)	\$340.48
Lumentum Holdings Inc (LITE.O)	E (05/12/2021)	\$884.98
Motorola Solutions Inc (MSI.N)	O (12/17/2025)	\$410.27
Zebra Technologies Corporation (ZBRA.O)	E (12/02/2024)	\$260.06

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Semiconductor Capital Equipment

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/18/2026)
Shane Brett		
Applied Materials Inc. (AMAT.O)	E (05/18/2026)	\$413.57
Camtek (CAMT.O)	E (12/01/2025)	\$155.74
KLA Corp (KLAC.O)	O (01/15/2026)	\$1,756.45
Lam Research Corp (LRCX.O)	O (05/18/2026)	\$277.96
MKS Inc. (MKSJ.O)	O (08/04/2024)	\$295.70
Nova Ltd (NVMI.O)	E (12/01/2025)	\$486.75
Teradyne Inc (TER.O)	E (07/30/2025)	\$321.05

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/18/2026)
Joseph Moore		

Advanced Micro Devices (AMD.O)	E (06/09/2024)	\$420.99
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	\$19.45
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	\$41.35
Ambarella Inc (AMBA.O)	O (03/29/2016)	\$78.88
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	\$66.04
Analog Devices Inc. (ADI.O)	O (11/16/2023)	\$418.58
Astera Labs Inc (ALAB.O)	O (05/11/2025)	\$215.58
Broadcom Inc. (AVGO.O)	O (06/09/2024)	\$420.71
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	\$67.84
Intel Corporation (INTC.O)	E (02/22/2023)	\$108.17
IonQ Inc (IONQ.N)	E (04/25/2023)	\$49.31
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	\$168.93
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	\$92.76
Micron Technology Inc. (MU.O)	O (10/06/2025)	\$681.54
Navitas Semiconductor Corp (NVTS.O)	U (04/06/2025)	\$19.67
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	\$222.32
NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	\$291.68
ON Semiconductor Corp. (ON.O)	E (05/11/2025)	\$109.43
Qorvo Inc (QRVO.O)	E (10/28/2025)	\$94.21
Qualcomm Inc. (QCOM.O)	U (02/10/2026)	\$203.64
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	\$1,333.01
Semtech Corp. (SMTC.O)	E (04/06/2025)	\$132.39
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	\$216.60
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	\$70.35
Texas Instruments (TXN.O)	U (04/13/2020)	\$300.60
Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	\$59.35
Lee Simpson		
Arm Holdings plc (ARM.O)	E (04/07/2026)	\$215.12
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	\$345.99
Synopsys Inc. (SNPS.O)	E (02/27/2026)	\$498.43

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Software

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/18/2026)
Chris Quintero		
BILL Holdings Inc (BILL.N)	E (06/10/2025)	\$38.52
Blackline Inc (BL.O)	O (09/29/2024)	\$29.81
Descartes Systems Group Inc (DSGX.O)	O (01/15/2026)	\$70.85
Manhattan Associates Inc. (MANH.O)	E (10/21/2025)	\$136.71
Navan Inc (NAVN.O)	O (11/24/2025)	\$18.40
SPS Commerce Inc (SPSC.O)	E (11/11/2025)	\$53.04
Vertex Inc. (VERX.O)	O (01/17/2024)	\$13.26
Elizabeth Porter, CFA		
Amplitude Inc. (AMPL.O)	O (01/15/2026)	\$6.35
Autodesk (ADSK.O)	O (08/23/2024)	\$243.49
Figma Inc (FIG.N)	E (08/25/2025)	\$24.36
Five9 Inc (FIVN.O)	E (10/10/2022)	\$21.13
Freshworks Inc (FRSH.O)	E (10/18/2021)	\$9.05
GoDaddy Inc (GDDY.N)	E (07/19/2021)	\$91.39
HubSpot, Inc. (HUBS.N)	O (03/21/2023)	\$208.51
Klaviyo, Inc (KVYO.N)	O (04/29/2026)	\$14.61
LegalZoom.com Inc (LZ.O)	U (07/28/2022)	\$6.58
Liveramp Holdings Inc (RAMP.N)	E (01/13/2025)	\$37.77

NICE Ltd. (NICE.O)	O (10/16/2023)	\$92.41
RingCentral Inc (RNG.N)	E (08/08/2023)	\$40.68
Sprinklr Inc (CXM.N)	E (07/19/2021)	\$5.24
Sprout Social Inc (SPT.O)	E (11/17/2020)	\$6.52
Twilio Inc (TWLO.N)	O (02/24/2025)	\$197.68
Wix.Com Ltd (WIX.O)	O (01/13/2025)	\$55.75
Zeta Global Holdings Corp (ZETA.N)	E (08/01/2024)	\$19.19
ZoomInfo Technologies Inc (GTM.O)	E (02/01/2024)	\$3.92

Josh Baer, CFA

Asana Inc (ASAN.N)	U (05/20/2025)	\$6.56
Box Inc (BOX.N)	E (05/21/2024)	\$25.77
CCC Intelligent Solutions Holdings Inc (CCC.O)	O (11/13/2024)	\$4.52
Commerce.com Inc. (CMRC.O)	++	\$2.76
Coursera, Inc. (COUR.N)	E (04/22/2026)	\$5.73
DigitalOcean Holdings Inc (DOCN.N)	O (01/16/2025)	\$147.43
Docebo Inc. (DCBO.O)	E (05/12/2025)	\$17.32
DocuSign Inc (DOCU.O)	E (01/16/2024)	\$49.02
Lightspeed POS Inc. (LSPD.N)	E (02/18/2021)	\$8.95
monday.com Ltd (MNDY.O)	O (08/12/2025)	\$78.04
Nebius Group NV (NBIS.O)	E (01/15/2026)	\$199.86
Sabre Corp (SABR.O)	E (03/16/2021)	\$1.59
ServiceTitan Inc (TTAN.O)	O (01/20/2026)	\$62.52
Toast, Inc. (TOST.N)	O (12/16/2021)	\$22.64
Via Transportation Inc (VIA.N)	O (01/20/2026)	\$14.91
Zoom Communications (ZM.O)	E (10/11/2022)	\$98.87

Keith Weiss, CFA

Adobe Inc. (ADBE.O)	E (09/24/2025)	\$255.64
Atlassian Corporation PLC (TEAM.O)	O (01/13/2020)	\$89.44
Cloudflare Inc (NET.N)	O (12/02/2024)	\$201.75
CoreWeave (CRWV.O)	E (04/22/2025)	\$103.77
Intuit (INTU.O)	O (02/26/2025)	\$403.16
Microsoft (MSFT.O)	O (01/13/2016)	\$423.54
Oracle Corporation (ORCL.N)	E (01/15/2019)	\$186.61
Salesforce, Inc. (CRM.N)	O (12/21/2023)	\$179.48
Samsara Inc (IOT.N)	E (03/23/2023)	\$30.61
ServiceNow Inc (NOW.N)	O (09/24/2025)	\$103.42
Shopify Inc (SHOP.O)	O (04/19/2024)	\$102.39
Workday Inc (WDAY.O)	E (02/19/2025)	\$128.88

Meta A Marshall

Check Point Software Technologies Ltd. (CHKP.O)	E (10/16/2023)	\$127.28
CrowdStrike Holdings Inc (CRWD.O)	O (03/10/2026)	\$618.83
Fortinet Inc. (FTNT.O)	U (09/02/2025)	\$126.50
Gen Digital Inc. (GEN.O)	E (06/07/2024)	\$24.34
Netskope, Inc. (NTSK.O)	O (10/13/2025)	\$11.37
Okta, Inc. (OKTA.O)	O (12/02/2024)	\$87.04
Palo Alto Networks Inc (PANW.O)	O (10/10/2017)	\$247.55
Qualys Inc (QLYS.O)	U (02/09/2021)	\$97.98
Rapid7 Inc (RPD.O)	E (08/11/2015)	\$6.73
SailPoint Inc (SAIL.O)	O (09/02/2025)	\$14.59
SentinelOne, Inc. (S.N)	E (12/02/2024)	\$17.54
Tenable Holdings Inc (TENB.O)	E (12/02/2024)	\$23.12
Varonis Systems, Inc. (VRNS.O)	E (01/26/2026)	\$28.78
Zscaler Inc (ZS.O)	E (04/22/2026)	\$174.69

Sanjit K Singh

Akamai Technologies, Inc. (AKAM.O)	O (01/12/2026)	\$150.77
Appian Corp (APPN.O)	E (04/30/2026)	\$21.10
C3.ai (AI.N)	U (01/04/2021)	\$8.75
Datadog, Inc. (DDOG.O)	O (01/12/2026)	\$208.82
Dynatrace Inc (DT.N)	E (02/13/2024)	\$39.85
Elastic NV (ESTC.N)	O (12/16/2024)	\$53.91
GitLab Inc (GTLB.O)	E (01/12/2026)	\$25.09
JFrog Ltd. (FROG.O)	O (12/21/2023)	\$67.91
MongoDB Inc (MDB.O)	O (04/12/2023)	\$330.00
PagerDuty, Inc. (PD.N)	E (01/24/2024)	\$6.95
Palantir Technologies Inc. (PLTR.O)	E (02/04/2025)	\$135.14
Snowflake Inc. (SNOW.N)	O (06/24/2025)	\$164.24
UiPath Inc (PATH.N)	E (09/07/2022)	\$10.64

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/18/2026)
Brian Nowak, CFA		
Airbnb Inc (ABNB.O)	U (12/06/2022)	\$134.30
Alphabet Inc. (GOOGL.O)	O (08/11/2015)	\$396.94
Amazon.com Inc (AMZN.O)	O (04/24/2015)	\$264.86
Booking Holdings Inc (BKNG.O)	O (02/23/2026)	\$155.07
DoorDash Inc (DASH.O)	O (02/21/2024)	\$162.67
Expedia Inc. (EXPE.O)	E (01/09/2019)	\$214.99
Instacart (CART.O)	E (01/29/2024)	\$40.99
Lyft Inc (LYFT.O)	E (10/24/2019)	\$13.37
Meta Platforms Inc (META.O)	O (03/20/2023)	\$611.21
Pinterest Inc (PINS.N)	O (07/20/2025)	\$19.93
Reddit Inc (RDDT.N)	O (12/08/2024)	\$159.11
Snap Inc. (SNAP.N)	E (07/22/2024)	\$5.67
Uber Technologies Inc (UBER.N)	O (06/04/2019)	\$75.08
Matthew Cost		
AppLovin Corp (APP.O)	O (04/10/2025)	\$492.38
Compass, Inc. (COMP.N)	E (01/12/2026)	\$7.91
Criteo SA (CRTO.O)	E (01/26/2016)	\$16.21
DoubleVerify Holdings Inc (DV.N)	E (06/25/2024)	\$9.27
Electronic Arts Inc (EA.O)	E (08/04/2021)	\$201.05
MNTN Inc (MNTN.N)	E (06/16/2025)	\$8.19
Opendoor Technologies Inc (OPEN.O)	E (07/24/2023)	\$4.28
Playtika Holding Corp (PLTK.O)	E (11/27/2022)	\$3.73
Roblox Corporation (RBLX.N)	O (11/04/2024)	\$46.98
Shutterstock Inc (SSTK.N)	E (07/28/2022)	\$16.71
Take-Two Interactive Software (TTWO.O)	O (02/01/2018)	\$242.16
Trade Desk Inc (TTD.O)	E (09/10/2025)	\$22.27
Unity Software Inc (U.N)	O (09/02/2024)	\$26.80
Webtoon Entertainment Inc (WBTN.O)	E (07/22/2024)	\$11.44
Yelp Inc (YELP.N)	U (01/10/2019)	\$21.79
Zillow Group Inc (Z.O)	E (04/18/2018)	\$37.17
Nathan Feather		
Bumble Inc. (BMBL.O)	E (03/08/2021)	\$3.18
Chewy Inc (CHWY.N)	O (10/31/2023)	\$21.63
Duolingo Inc (DUOL.O)	E (02/27/2026)	\$113.24
eBay Inc (EBAY.O)	O (04/18/2024)	\$114.43

Etsy Inc (ETSY.N)	E (07/20/2025)	\$58.83
FIGS, Inc. (FIGS.N)	E (02/29/2024)	\$11.50
Grindr Inc. (GRND.N)	E (02/24/2026)	\$13.70
Match Group Inc (MTCH.O)	E (04/18/2024)	\$35.88
Peloton Interactive, Inc. (PTON.O)	E (03/14/2022)	\$5.30
Revolve Group Inc (RVLV.N)	E (10/20/2024)	\$18.45
WW International Inc (WW.O)	E (08/01/2025)	\$10.03

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.